Oracle Corporation

Key OCI Debates, Where We Stand

Summary

Oracle shares are -27% post its 4Q/May print, with investors shrugging-off strong revs growth results and guidance and focusing on several perceived risks – rising AI infra capex, uncertain/uninspiring ROIC, evidence of tightness in the credit markets for new large AI data center debt offerings, delays at a key site under construction in New Mexico and high customer concentration with OpenAI. In this note we focus on each of these OCI-related concerns. Net, we conclude that material risk is already priced into the stock and that some risks (such as New Mexico delays) could be over-stated. We remain Buy-rated.

Potential Positives

We'd note: 1. This week we spoke with an industry check with good visibility into Oracle's Project Jupiter construction project in New Mexico. In contrast to investor concerns (and ours) that the government could block the project, this check attached a 90% chance of the project proceeding (some delay, some higher cost) and noted that the first 200 MW is powered off the grid and is secure. 2. Investors are pricing-in more credit risk (Oracle will likely need to issue more debt in CY27), evidenced in wider spreads on peer group deals and wider CDS spreads, but the hyperscaler prints from last week eased concerns and, as KKR said, there is some "indigestion" but the credit markets remain open. 3. Investors reacted poorly to Oracle's decision to effectively reaffirm (not raise) the FY27 revs/EPS guide on the last call, but we wonder if there is upside given the material AI capacity coming online, coupled with CFO conservatism last quarter.

Lingering Concerns

While Oracle shares have re-rated by +25% since Microsoft's print last week, in our view, further multiple expansion needs to come from an improved narrative about: 1. Oracle's high OpenAI exposure and how a changing AI model market could impact OpenAI's spend with Oracle, if at all, 2. Greater comfort with the ROIC (fully-loaded with depreciation) on AI capex, particularly Oracle's ability to "move up the stack" from offering core GPU access, 3. Competition, as SpaceX, Meta and even OpenAI itself (via the Pike County site) sell/consume AI compute.

Valuation:

Oracle shares trade at 11x CY28e and 16x CY27e non-GAAP EPS, in our view attractive given the unprecedented growth acceleration and AI exposure. While we remain Buy-rated, we're trimming our PT from $285 to $245, based on a target multiple of 19x CY28e non-GAAP EPS (from 28x on C27e) to reflect the risks discussed in this report. 19x is a slight premium to the peer group, reasonable given that revs growth should soon be 30%+.

Equities

United States
Software

12-month rating	**Buy**
12m price target	**US$245.00**
	Prior : US$285.00
Price (05 Aug 2026)	**US$144.28**

RIC: ORCL.N **BBG:** ORCL US

Trading data and key metrics

52-wk range	US$328.33-114.99
Market cap.	US$422b
Shares o/s	2,914m (COM)
Free float	78%
Avg. daily volume ('000)	6,292
Avg. daily value (m)	US$1,020.4
Common s/h equity (05/26E)	US$43.1b
P/BV (05/26E)	9.8x
Net debt to EBITDA (05/26E)	2.7x

EPS (UBS, diluted) (USD)

	05/26E	
	UBS	**Cons.**
Q1	1.47	1.47
Q2	2.26	2.26
Q3	1.79	1.79
Q4E	2.14	2.11
05/26E	7.66	7.63
05/27E	8.14	8.06
05/28E	10.82	11.02

Karl Keirstead
Analyst
karl.keirstead@ubs.com
+1-310-734 2455

Radi Sultan, CFA
Analyst
radi.sultan@ubs.com
+1-212-882 0094

Dean Marriott
Associate Analyst
dean.marriott@ubs.com
+1-212-713 2115

Highlights (US$m)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Revenues	49,955	52,961	57,399	67,358	89,889	129,006	175,928	209,177
EBIT (UBS)	20,904	23,054	25,034	28,925	37,284	51,450	68,732	85,192
Net earnings (UBS)	14,177	15,709	17,285	22,338	25,128	34,355	47,870	61,338
EPS (UBS, diluted) (US$)	5.12	5.56	6.03	7.66	8.14	10.82	14.78	18.56
DPS (net) (US$)	1.35	1.60	1.70	2.03	2.01	2.02	2.02	2.02
Net (debt) / cash	(80,294)	(76,208)	(81,365)	(97,647)	(119,486)	(158,545)	(149,140)	(111,619)

Profitability/valuation	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
EBIT (UBS) margin %	41.8	43.5	43.6	42.9	41.5	39.9	39.1	40.7
ROIC (EBIT) %	32.2	27.6	26.7	23.8	20.9	20.0	21.9	25.1
EV/EBITDA (UBS core) x	10.9	13.4	16.2	14.0	10.1	7.6	5.4	4.3
P/E (UBS, diluted) x	15.8	20.6	26.0	18.8	17.7	13.3	9.8	7.8
Equity FCF (UBS) yield %	5.8	4.5	0.0	(5.4)	(11.4)	(10.8)	3.6	10.3
Dividend yield (net) %	1.7	1.4	1.1	1.4	1.4	1.4	1.4	1.4

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of US$ 144.39 on 05-Aug-2026 17:36:32 EDT

This report has been prepared by UBS Securities LLC. **ANALYST CERTIFICATION AND REQUIRED DISCLOSURES, INCLUDING INFORMATION ON THE QUANTITATIVE RESEARCH REVIEW PUBLISHED BY UBS, BEGIN ON PAGE 21.**

This document is being provided for the exclusive use of YUBO CHUEN THE CHINESE UNIVERSITY OF HONG KONG.

Share Price Underperformance

Oracle shares are -24% YTD, materially under-performing the peer group of AI infrastructure providers, as illustrated in Figure 1 below. Given that this entire peer group has (until recently) materially lagged semi stocks and even most application software stocks over the last few months, we believe Oracle's share price weakness is clearly a reflection of a broader sentiment erosion towards the AI infrastructure market given concerns about rising capex, uncertain ROI, the need for external credit or equity financing, the challenges associated with standing up large AI data centers and the customer concentration with OpenAI. As we show in Figure 1, these concerns eased materially post the Microsoft and Amazon prints but in our view they continue to weigh on Oracle shares.

Figure 1: Relative Share Price Performance

	Jan 1- Jul 29	Since Jul 29
CRWV	-15%	53%
NBIS	77%	52%
IREN	-22%	40%
MSFT	-19%	27%
ORCL	-40%	25%
AMZN	-2%	23%
GOOG	7%	12%
Average	-2%	33%
Median	-15%	27%

Source: Factset

Key Investor Debates

In our view, a portion of Oracle's underperformance is rooted in more Oracle-specific concerns, issues that we take up in this report, including a discussion as to whether/how they might reverse. There are of course debates on the database and application software sides of the house too, but in our judgment these are not what are weighing on the stock, and we're not hearing anything materially new/incremental in these core software segments to explain the -27% move in the stock since the 4Q/May print (if anything, core software sentiment has marginally **improved** over this period).

- **AI Capex and Uncertain ROI**: Investor tolerance for rising AI capex has over the past few years flipped between positive (more capex is a signal of strong demand) and negative (the industry is over-investing and returns will be weak). Investors are now back to worrying about higher capex, but particularly when upward capex estimate revisions are not accompanied by upward revenue and EPS guidance revisions. This was the outcome of Oracle's 4Q/May call, as the MT guide for revs and EPS was basically reaffirmed despite higher capex, a higher backlog and material AI capacity additions. This had the effect of triggering more concerns about Oracle's AI ROI, and the recent S&P credit downgrade (while Oracle debt remains investment-grade) didn't help.
- **Tighter Credit Markets**: Investors, like us, are monitoring widening credit spreads on AI infra debt deals and widening CDS spreads for Oracle and its peers. While Oracle has stated that it doesn't need to access additional debt financing in CY26, it will likely need to do so in CY27 and investors are concerned about the availability and cost of capital to fund the AI build-out.
- **Pace of Capacity Additions**: While Oracle disclosed that it stood up 1GW of new capacity in 4Q/May, outstanding and comparable to the pace of capacity adds by Microsoft, its out-year revenue guidance is rooted in success in standing up a handful of major AI data centers. The media around delays with one of those sites – Project Jupiter in New Mexico – has weighed on investor confidence that Oracle can advance these major construction projects on schedule.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

- **OpenAI Exposure**: Given the consensus view that open source (Chinese and other) AI models are poised to take share from frontier labs and that enterprise token spend optimization efforts might trim 2H growth for OpenAI and Anthropic, investor sentiment about Oracle's high OpenAI exposure has swung back to being perceived as a risk, contributing to the weakness in the shares of each of the hyperscalers with large OpenAI exposure (Oracle, Microsoft, CoreWeave).

Oracle's AI Capex and ROI

In light of the recent post-print weakness in the shares of Oracle, Google and Microsoft, each with increases in their capex guides, let's address this issue first. In Oracle's 4Q/May 2026 quarter, capex of $16.5 billion was +82% y/y, making FCF modestly negative (and negative for the 5th straight quarter). Full year FY26 capex of $56 billion was +162%, landing above the $50 billion guidance set back in Dec 2025, and well above the previous $35 billion guidance. Looking forward, Oracle guided to the following:

- **FY27**: Capex guide of $90-95b, landing above the ~$85b buy-side consensus and representing capex growth of ~70%, below our estimated IaaS/cloud infra revs growth of ~120% in FY27
- **Beyond FY27**: Importantly, Oracle said that peak dollar (not growth) capex will be in FY27 or FY28, the first major cloud infra provider to clarify this and motivating us to trim our FY29+ capex (and raise FCF) estimates. This outlook is based on what Oracle can see today, a "peak capex" timeline that would obviously move to the right if Oracle were to commit to the delivery of materially more capacity for new or existing customers.

Key Inputs to FY27-FY30 Capex Estimates

From a base of $56 billion in FY26 capex, what are the key inputs into our FY27-FY30 capex estimates? Some are very clear, namely the RPO balance or backlog of commitments ($638 billion at the end of 4Q/May, amazingly about equal to that of Microsoft and higher than that of AWS) that Oracle needs to service. It is also a function of the durability of overall compute demand over the next 3-5 years, which appears to be very robust based on a plethora of data points, including accelerating hyperscaler growth rates, the clear ramp in enterprise AI consumption, remarkable AI-native growth as well as the "compute constraint" comments from OpenAI and Anthropic. But more specific to Oracle, we are driving our medium-term capex estimates based on:

- **Peak Capex Comment**: While we acknowledge that Oracle's stated peak capex timing (FY27 or FY28) could be a moving target depending on new cloud commits, this disclosure is an important input to our capex estimates beyond FY27, raising the prospect that dollar capex slows beginning in FY29.
- **Timing of Largest Builds**: As we discuss in the next section, most of Oracle's largest AI data center builds are slated for go-live in 2027. When Oracle says that "customer delivery will begin in 2H27", that can of course mean that capex will be heavy in 2028 given 9-12 month ramps, but the timing of Oracle's largest builds supports a view that capex will peak in 2027/2028.
- **Revenue Conversion to Capex**: Oracle has provided revenue guidance through FY30 and hence one method to calculate required capex is to work backwards from this revenue guide using reasonable capex per revenue dollar ratios. From a base of IaaS revs of $18.1 billion in FY26, we're modeling FY30 IaaS revs of $157.3 billion, for dollar growth of $139 billion. On the GPU infra business that is driving much of this revs growth, Oracle used a revs per GW of $10 billion at its fall 2025 Investor Day (we suspect it is now higher) and we're using a ratio of $2.5 of capex per dollar of future revs, which admittedly could be lower if Oracle funds the acquisition of Nvidia GPUs via off-balance-sheet methods. This IaaS revenue to capex conversion math backs us into required capex of ~$345 billion in the 5-year FY26-FY30 period to drive this revenue growth. Given capex of $56 billion in FY26 and the guide for $95 billion in FY27, this implies an average of $65 billion in the FY28-FY30 period, much lower than in FY27 and supporting Oracle's FY27/FY28 peak capex comment.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

- **Capacity to Capex Conversion**: Another approach to estimating Oracle's medium-term capex is to start with the required GW of expected capacity additions and then work backwards to capex based on a reasonable estimate of the required capex per GW. Oracle has said that "through our partners, we have secured 10+ GW of power and data center capacity coming online over the next three years". One of the most detailed cost-per-GW analysis came from the CEO of Crusoe in an April 2026 Stanford session, and in Figure 2 below we show the detailed cost build-up for a GB200/GB300-based AI data center, summing to $57 billion. Noting that Oracle partners with data center firms (such as Crusoe and Vantage) to build and deliver "warm shells" (appearing as lease costs), then the capex to Oracle might be closer to $35 billion. Across 10 GW, that amounts to $350 billion, very close to the math from the methodology above. It is also worth noting this $35 billion figure is for a GW of newer GPU vintages like Nvidia's Grace Blackwell chips with a revenue opportunity of ~$15b revenue per GW (whereas the $25b of capex and $10b of revs per GW assumed for Oracle represents a mix of older pricing/GPUs). Both of these capex & revenue per GW assumptions yield roughly the same ~2.5 capex to revenue ratio.

Figure 2: Cost of a Modern AI Data Center

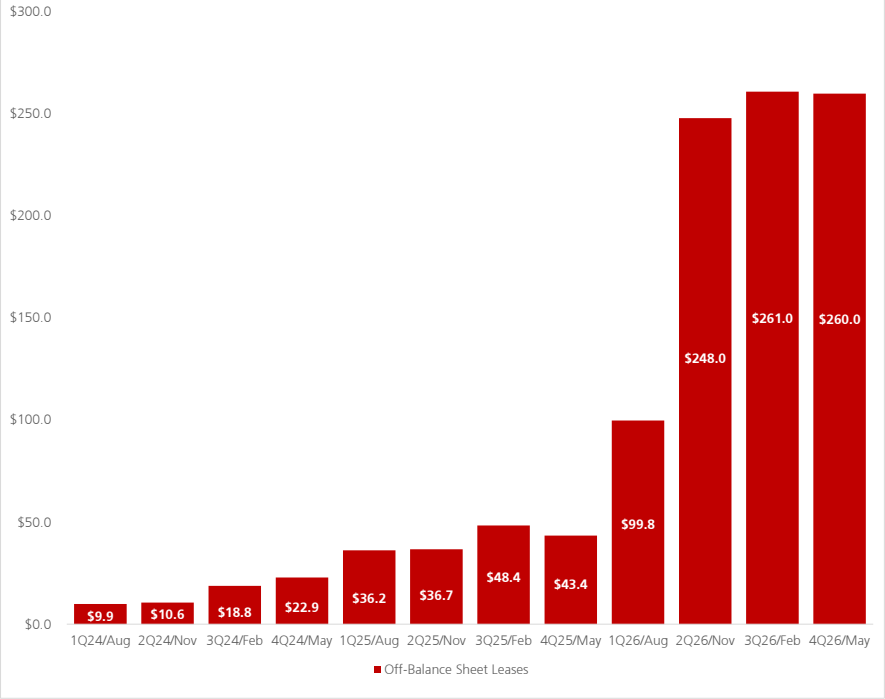
	Cost/MW ($millions)	Description
DC Construction		Standing up the powered shell building
Labor	$4.7	Electrical, mechanical and civil engineers, masons, HVAC, architects etc.
Materials	$3.9	Steel, cement
Gas Plant	$3.0	Turbines from Mistibushi Heavy, GE Vernova etc.
Tenant Fitout	$2.6	Fan walls, cooling units, any outfitting of the internal data hall for the end user
Electrical Equipment	$1.8	All voltage switch gear, "industrial electrical panel"
Mechanical Equipment	$1.7	Plumbing, chillers, cooling
Soft Costs	$1.5	Insurance, financing costs, zoning etc.
Subtotal	$19.2	
IT Capex		What goes inside the data hall
GPUs	$30.0	NVDA GB200 / 300s
Networking	$4.0	Connecting GPUs to talk to each other
CPU / Storage	$3.0	Orchestrating workloads
Labor / Shipping	$1.0	Installing & transporting IT equipment
Subtotal	$38.0	
Total	**$57.2**	

Source: Crusoe

- **Trend in Lease Obligations**: As noted above, Oracle's reported capex is not apples-to-apples to that of rivals Microsoft and Amazon given that Oracle partners with data center firms to build and deliver "warm shells", which Oracle leases for long periods. The data center infrastructure is therefore "off balance sheet", with lease obligations (reported in the 10-Q) important to watch as a barometer of early-stage data center builds that – with a lag – will drive subsequent equipment capex. Figure 3 below illustrates the massive jump in lease obligations in Oracle's 2Q/Nov 2025 quarter ahead of the build-out of large new AI data centers. We estimate that these data center leases have an average duration of 15+ years, such that $260 billion of obligations equates to ~$17 billion of annual lease expenses (we believe that much of this runs through COGS, with cash lease payments beginning once the data centers are delivered to Oracle and hence the leases fully commence). A few observations. First, assuming equipment capex really ramps about a year after the initial lease is signed, then this explains the material jump in capex in the coming 1Q/Aug and 2Q/Nov quarters. Second, it is encouraging that Oracle's lease commits have begun to level-off post the big 2Q/Nov 2025 jump, perhaps a signal that Oracle is focused on executing on already planned builds rather than taking on material new construction projects.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Figure 3: Oracle Lease Obligations

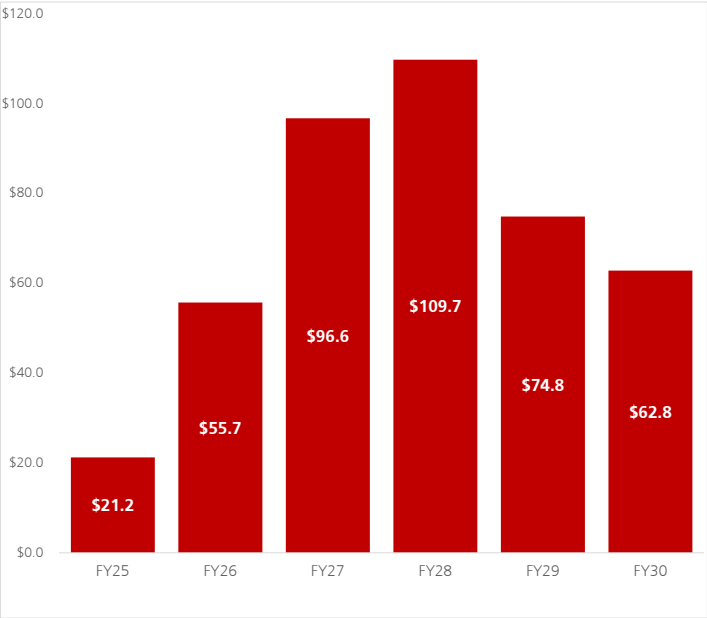


Source: Company disclosures

Bottom Line – Our Capex Estimates

Pulling all of the above inputs together, we offer our capex estimates below in Figure 4. Relative to the consensus sell-side estimates, we are higher for FY28 ($110 billion compared to Street consensus of $92 billion) but, in our judgement, likely closer to where investors already are. For FY29, in light of the "peak capex" commentary and other inputs described above, we are now comfortably below the Street ($75 billion compared to the sell-side consensus of $88 billion). Bottom line, this refresh of our capex forecasts left our estimates intact with where we set them in mid-June.

Figure 4: UBS Capex Estimates for Oracle



Source: UBS Estimates

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Cash Capex is Lower - Offloading GPU Costs

The capex figures above are total or reported. The net cash outlay to Oracle is lower, and Oracle disclosed that of the FY26 reported capex of $56 billion, only $48 billion was net cash outlays, driven in part by pre-payments from customers that serve to cover part of the cash needs. For FY27, Oracle's total capex guidance of $90-95 billion converts to actual cash outlays of ~$70 billion, with an expected $20-25 billion met by customer pre-payments, timing issues and "bring-your-own-hardware" (BYOH) deals. Of the $85 billion increase in sequential RPO in 4Q/May, $67 billion was for AI infrastructure contracts and of that amount. "the majority" were pre-paid or BYOH deals. Oracle claims that the margins on these pre-pay/BYOH deals are equal to or better than its other contracts. These contract structures are obviously designed to ease the financing burden on Oracle, lowering the amount of debt/equity it needs to raise and helping to preserve its investment grade (IG) credit rating. Oracle is not be breaking new ground with such deals, as the neo-Clouds, Meta, xAI and others have already signed similar deals.

Is the ROIC There?

One of the bigger (potentially thesis-changing) takes from the Microsoft and Amazon prints last week was the view that the margins, the return on invested AI capital, may be better than most thought, and thus the AI monetization story is starting to kick-in. Is that also true for Oracle? In our view, it is less clear, less compelling, for Oracle. On the 4Q/May call, Oracle referenced its "previously outlined 30% to 40% (gross) margin profile" on AI infrastructure revs, consistent with comments on the 3Q/Feb call that "looking at the AI capacity we delivered in Q3, our gross margin for that remained above our 30% guidance at 32%". We can obviously calculate incremental Cloud Services & Support gross profit dollar adds divided by incremental Cloud Services & Support revenue dollar adds to get to incremental GMs of ~39% in FY26 (but higher at 51% in 4Q/May), down from ~55-60% in previous years and well below the corporate GM level of 66%.

On the 4Q/May call, the new CFO went one helpful step further and outlined the math on Oracle's return on invested capital. Oracle calculated a high-20% steady-state ROIC "once the revenues have ramped for large projects", excluding upsides such as a longer-than-expected GPU life. According to the CFO, "I'm just calculating return on invested capital as after-tax operating margin plus depreciation, divided by gross investment, so total capex at the project level". In Figure 5 below, we estimate the rough math that Oracle may have been using, and then calculate a fully-burdened ROIC by including (not excluding) depreciation charges to get to a "low-teens" ROIC.

Figure 5: Oracle ROIC Math

ORCL - ROIC Bridge per GW (GPU)	
ROIC Calculation	
Revenue per GW ($b)	$10.0
Gross Margin	35%
Operating Margin	33%
Operating Income per GW	$3.3
Tax Rate	*20%*
After-Tax Operating Income (NOPAT) per GW	**$2.6**
+D&A (capex / 6-year useful life)	$4.2
NOPAT + D&A	**$6.8**
Capex per GW ($b)	$25.0
ROIC (matching ORCL's "high 20%" ROIC)	**27%**
Fully Loaded Calculation	
After-Tax Operating Income	$2.6
Capex per GW ($b)	$25.0
ROIC (Fully Loaded) - Aft-Tax Op Inc / Capex	**10%**

Source: Oracle, UBS Estimates

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Upside to a High-20% Cash ROIC

In our judgement, most investors are not particularly excited about a 30-35% GM profile and a high-20% cash ROIC (low-teens fully-burdened by depreciation) on new AI infrastructure capacity, explaining the weakness in Oracle shares. In our view, the upside case – which we believe has to be proven-out in order for the stock to fully re-rate higher - must be that these GMs/ROIC metrics will improve over time with scale as well as "moving up the stack" and driving growth in revenues per GW of capacity. While Oracle has disclosed a loose estimate of $10 billion of revs per GW of capacity, investors are aware that SpaceX on its earnings call this week referenced signing deals at $30-50 billion of revs per GW. There are reasons for this gap, but there may be a strong upward bias to the revs per GW assumption used by Oracle investors. Put another way, the ROIC will ramp as Oracle moves well beyond "selling GPU access" on OCI. This was captured well via a recent conversation we had with a major AI data center developer and operator: "*we don't do bare metal leasing, returns there are tough. If hyperscalers want to own their own compute, it's going to be hard to renew a lease where you are selling bare metal. The business I would not want to be in is leasing GPUs to Meta. The downward pressure on the renewal rate will be very acute. We have been told by the hyperscalers that GPU as a service is not something they ever want to do".*

Protecting GMs from Component Inflation

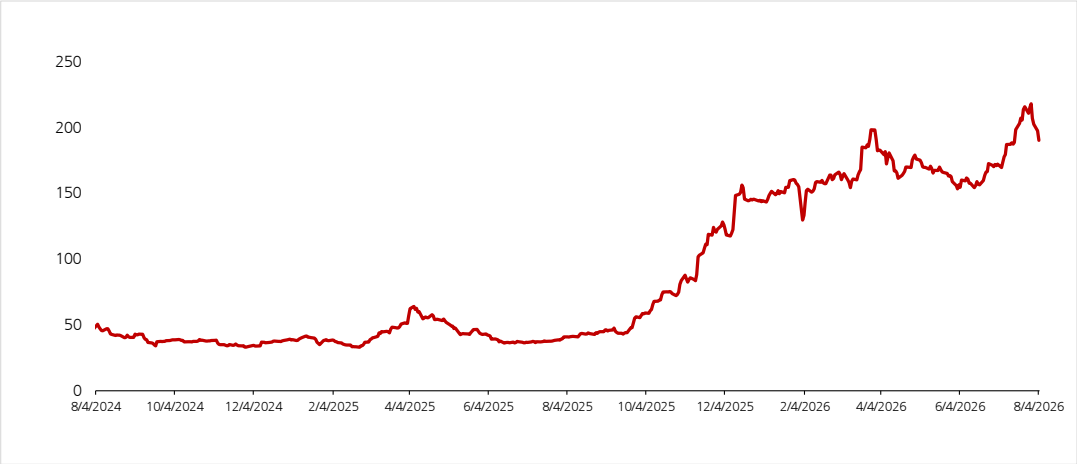
One (still) persistent MT margin or ROIC investor concern is that AI infra providers such as Oracle are locking customers into fixed pricing over multi-year contracts but leaving themselves exposed to component inflation, pressuring margins/ROIC. Oracle, presumably recognizing this perceived risk, addressed this issue on the 4Q/May call, saying that it only does fixed price contracts when it has certainty around the cost inputs. When it does not, then "we do not do fixed price contracts with our customers and we have a mechanism whereby those costs end up being floating". This in our view helped to alleviate this perceived risk. We spoke with Microsoft last week post their print about this same risk and they too talked-down that risk, saying that a) with large frontier lab customers such as OpenAI, they have fixed price contracts by tranche of capacity that is stood up, such that the following tranche could have different /higher pricing, b) for traditional enterprise customers, the price discounts can be adjusted over the life of deals and c) they have line of sight to component costs given long-term agreements. Net, we expect this perceived risk to fade in the investor discourse over the coming quarters.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Financing This Capex Ramp

Oracle's ability to fund this $340-350 billion of required capex through FY30 has been an overhang on the stock for some time, with the level of concern oscillating depending on the perceived health of the credit/equity funding markets and the degree of acceptable strain on Oracle's balance sheet. Judging from Oracle's CDS spreads, which have widened-out materially in recent months, it seems that investors are now back to being more worried than before. Let's evaluate whether this apparent anxiety is warranted.

Figure 6: Oracle CDS Spreads



Source: Bloomberg

IG Rating – But Right at the Edge

As at the end of Oracle's 4Q/May quarter, the company had $130 billion in total short and long-term debt, and given $31 billion in cash and equivalents, Oracle has ~$100 billion in net debt. Oracle's ability to absorb $100 billion in net debt is largely a function of its profitability – its 43% non-GAAP operating margin in FY26 is among the highest in the software sector, as is its FY26 OCF margin of an even higher 48%. In particular, Oracle can absorb high levels of debt because of its hugely-profitable database software business, its cash flow engine. While there are pressure points in this business, namely that many new customers are turning to cheaper relational (Postgres-based) database options and that AI coding agents are better enabling better enterprises to modernize and get off legacy Oracle-based and mainframe-based apps, Oracle's core database business appears to be stable with no evidence of pricing or margin pressure.

This core profitability is anchoring the company's investment grade (IG) debt rating, which Oracle has remained steadfast about protecting at all costs. As we show in Figure 7 below, Oracle's massive AI infrastructure investment cycle has burdened its balance sheet and weighed on these industry-high margins to the point that Oracle remains IG, but is teetering on the edge. Scaling as a tier-1 GPU cloud provider is increasingly about access to capital and hence variations in the cost of capital – heavily influenced by credit ratings – have a very real P&L impact. The fact that Oracle shares have materially under-performed Microsoft, Amazon and Google of late is in our view very correlated to relative balance sheet strength and the need to access external funding versus (in the case of Microsoft) being in a position to self-fund.

In mid-July, S&P downgraded Oracle debt to BBB-, at the very low end of the IG quality range. By comparison, S&P rates Microsoft a AAA – the highest possible – while emerging GPU cloud provider CoreWeave is rated B+ or speculative/high-yield. At the time of the downgrade, S&P reiterated well-understood risks: customer concentration (namely OpenAI), high capex and rising component costs (memory inflation), saying that they "underestimated the scale of the investments required to expand the AI business". S&P warned that it could downgrade again if a) leverage remained above 4.5x, b) if it believe that Oracle is not on a path to be FCF positive by FY29 or c) S&P's view of the AI strategy or overall AI industry changes negatively.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Figure 7: Oracle's Credit Ratings

Investment Grade	Moody's	Standard & Poor's	Fitch
Strongest	Aaa	AAA	AAA
	Aa1	AA+	AA+
	Aa2	AA	AA
	Aa3	AA-	AA-
	A1	A+	A+
	A2	A	A
	A3	A-	A-
	Baa1	BBB+	BBB+
Oracle	**Baa2**	BBB	**BBB**
Weakest	Baa3	**BBB-**	BBB-

Source: Factset

Oracle's Required Financing

On the most recent 4Q/May call in mid-June, Oracle disclosed plans to raise ~$40 billion in debt and equity in FY27 (ended May 2027), including its already-announced $20 billion of at-the-market (ATM) equity issuance, and said that the company doesn't anticipate raising additional debt funding in calendar year 2026. Assuming that the $20 billion ATM equity financing occurs between now and CY26 year-end (we have heard from sources that Oracle's ATM issuance has begun), then these disclosures imply ~$20 billion of additional debt or equity in the period Jan-May 2027.

What is required beyond FY27? Over the 4-year period FY27-FY30, we're modeling operating cash flow of $308 billion, using relatively conservative estimates of the GMs on Oracle's GPU infrastructure business, weighed down by lease commitments and other expenses. As noted above, we estimate reported capex of $344 billion over this same 5-year period, a gap of ~$36 billion. This gap is wide – over $45 billion of negative FCF - in each of the next 2 years but then turns positive in FY29, as GPU cloud revs ramp materially and (presumably) as annual capex begins to fall. But as noted above, Oracle's cash capex is lower than reported capex by $20-25 billion in FY27, such that if Oracle continues to negotiate contracts with BYOH and cash pre-pay provisions, then it is highly likely that there will be **no cash funding gap** over the full FY27-FY30 period. The risks are twofold. First, that our OCF margin assumptions are off and there is material degradation in the core, especially in the high-margin database businesses. Second, while there may not be a funding gap over the 4-year FY27-FY30 period, there most certainly IS a funding gap for FY27 and FY28.

Credit Market Appetite for AI Infra Deals

What will be the appetite of credit markets to fund Oracle's financing needs for the next two years? At the core of investor concerns about Oracle's need for incremental capital is whether the credit markets are even going to be there for Oracle and smaller peers such as CoreWeave and Nebius that also need to externally-finance their data center build-outs. It's a legitimate question to ask given the pending scale of AI infrastructure investments and there are a host of very real issues for the debt markets to be worried about, including the timing lag to monetize AI relative to the up-front investments, AI capacity go-live hurdles and the high concentration of AI infra demand among a small number of model providers. But is there convincing evidence that the appetite to fund the AI build-out is waning, such that Oracle may not have access to sufficient capital at reasonable rates? Are we seeing/hearing of any material cracks in the credit markets for AI investments overall?

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Recent Peer Debt Deals

The most recent issuance from a direct peer to Oracle in the broader high-yield market was CoreWeave's mid-June $1.25 billion senior note deal (the company also issued 2 billion euros of senior notes, for a total of $3.5 billion). The $1.25 billion US transaction was completed with a 9.625% yield and a 530bps spread to Treasuries, a spread that through last week had widened out to 825bps. We're told by our credit strategy colleagues that spreads on AI infrastructure deals tend to be very influenced by who is backing the cash flows (if it is an IG-credit tenant that has signed a lease, the notes are trading tight to their spread at issuance). We're also keeping a close eye on hyperscaler issuances. Amazon's July 2026 issuance was 1.6x oversubscribed compared to 3.4x at the start of the year. According to our team, weaker oversubscription rates on deals for repeat issuers can also signal a market that's getting tighter and more selective.

We checked in with our UBS credit strategy team this week and we offer a quote below. Bottom line, indications are that the credit market is still open for AI data center financing, but spreads are wider and appetite has waned somewhat. This implies a higher interest expense drag on future Oracle debt deals, but not a credit availability risk.

> *"It's evident that the bond market has reacted positively to the recent (Microsoft and Amazon) prints. Across the group we've seen long-end bonds start to recover (curves flattening) after underperforming into earnings, suggesting a degree of greater comfort owning longer-term risk on the back of earnings. Among the higher rated hyperscalers (Amazon, Alphabet and Meta) we've seen the biggest outperformance in Amazon (-14bps tightening in >20y tenors). CDS tell a similar story and have tightened across the board in the hyperscaler cohort, though the underperformance of Meta in general is fairly notable. Similar story with the data centers – aside from ~3 names (TRACTD/TRACTC and Meridian), the broader HY cohort has tightened by -22bps on average / -6bps on a debt weighted basis over the past week after ~70-80bp widening since issuance and the IG structures have tightened by -11-13bps. Tenant risk is still the primary factor driving datacenter bond performance".*

Blackstone and KKR – Some Credit "Indigestion"

Over the last month or so, several of the active private credit participants in funding the AI build-out have attended investor events and commented on their AI infra funding efforts and appetite to invest more. In a nutshell, these statements over the last 1-2 months do NOT hint at any material pull-back in appetite. That said, KKR admitted to some market "indigestion" in terms of absorbing large-scale AI-related deals, which again signals wider spreads more so than a seizing-up of credit.

- **Blackstone:** *The most significant driver of our strong results continues to be the large-scale investments we've made in AI-related areas, including data centers, energy and power and the frontier of AI companies themselves. Blackstone has become one of the largest private capital providers in the AI eco-system. We're now creating new companies and platforms that we believe will play a critical role in the advancement of AI. In 2Q alone, we a) teamed with Google to build a new AI cloud provider, powered by their TPU chips, investing up to $5 billion, b) we partnered with Anthropic to form a company focused on driving enterprise adoption of their AI-powered solutions, c) we joined Broadcom and another manager to create a financing platform, which provided $35 billion initially to deliver 1 GW of compute, the largest private credit investment in history and d) we launched the Blackstone REIT known as BXDC, something public market investors can access directly to acquire newly constructed data centers. Our data center platform has grown to $185b of total value and we expect to lease over 3x more capacity this year than any other year in our history.*
- **KKR**: *We are in the midst of a global capex cycle…but there is a bit of schizophrenia out there. We actually think this is a huge opportunity for us as a firm. But there are ways to do it well and there are ways to do it less well. Hyperscaler data center spreads have widened pretty meaningfully just over the last couple of weeks. This stands in contrast to broader IG markets, which still pretty much remain at their highs. It feel like there is indigestion. We're going to care about the counterparty and contract terms. There is a lot to do, even in spite of the volatility.*

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

New Mexico and Other Data Center Sites

Another major topic of discussion among investors is Oracle's ability to stand up the required AI infrastructure capacity to serve the current backlog as well as expected backlog growth, as the medium-term revenue guidance is predicated on capacity being in place. Oracle disclosed two key things on its 4Q/May earnings call. First is the pace of capacity adds, with Oracle delivering 1.2 GW of capacity in FY26 and guiding to almost 1.0 GW of adds in 1Q/Aug alone (for comparison, Microsoft has added 1 GW per quarter in each of the last three quarters). From an average of 300 MW of capacity per quarter throughout FY26, that implies 3x the normal run-rate in 1Q/Sept, enough to result in a meaningful boost to revenues in FY27. Second, Oracle disclosed the target "customer delivery" timelines for 5 of the largest sites on the most recent 4Q/May call, as we show below.

Figure 8: Oracle's Biggest AI Data Center Builds

Site Name	Expected Go-Live Timeframe	Earnings Call Comment
Stargate Abilene, TX	Over 50% online. Fully live by year-end C26	To begin, let's look at Abilene, Texas. Abilene today has delivered 42% of the total capacity. An additional 35% of capacity will be delivered in the next 90 days, with the remainder delivering in the subsequent quarter.
The Frontier Shackelford, TX	Customer delivery begins in 1H C27	Moving forward to Shackelford, Texas. We contracted this in August of 2025. Customer delivery begins in the first half of FY 2027 – sorry, the first half of calendar year 2027. 115 megawatts of power capacity is already available online, more than one month ahead of schedule.
Project Jupiter Santa Teresa, NM	Customer delivery begins in 1H C27	If we take a look at Doña Ana County, New Mexico, we contracted this in September of 2025. Customer delivery begins in the first half of calendar year 2027 as well. Power design is based on gigawatts of clean, energy-efficient Bloom fuel cells.
The Barn Saline, MI	Customer delivery begins in 2H C27	We look at Saline, Michigan. We contracted this in October of 2025. Customer delivery begins in the second half of 2027. The network core is ahead of schedule and delivered at the end of this calendar year.
Lighthouse Port Washington, WI	Customer delivery begins in 2H C27	And then the final site I want to touch on, Port Washington, Wisconsin. This was contracted in September of 2025 and delivery begins in the second half of calendar year 2027.

Source: Company Disclosures

Project Jupiter in New Mexico

Frankly, we are becoming somewhat immune to a steady stream of media stories about construction delays and component bottlenecks at various large AI data center builds, for Oracle (including countless articles stating that the big Abilene site is running behind) and the broader industry. The reality looks different. Yes, general contractors are signaling various types of bottlenecks (typically electrical equipment, rarely chips) and given these are such mammoth projects, there are inevitably delays. But overall, there is no evidence in the revenue growth rates of the hyperscalers or the neo-cloud providers (which have been accelerating materially) that construction delays/bottlenecks are hampering growth. On the contrary, the disclosed capacity adds of 1 GW per quarter for Microsoft and now Oracle in 1Q/Sept are a material jump from prior periods. In fact on its recent 4Q/Jun call, Microsoft attributed its Azure upside to faster conversions of raw data center capacity to revenue-producing live racks given go-live improvements.

Publicly-Disclosed Source of Delays

That said, there are clearly delays associated with the big Project Jupiter site (designed to house up to 2.5 GW of power capacity, with 1.2 GW firmly committed) in Dona Ana County, New Mexico, an issue that is weighing on Oracle shares. The project was approved in September 2025 and physical construction has begun, evidenced by the image of the site disclosed by Oracle on the 4Q/May call (progress appeared early-stage). In March 2026, the New Mexico state land commissioner (Stephanie Garcia Richard, a Democrat, now running for Lieutenant Governor) rejected the plan for a gas pipeline (due to concerns about the pipeline route and gas emissions) and Oracle responded in April 2026 via a commitment with Bloom Energy to deploy solid oxide fuel cells (based on natural gas). Bloom Energy shares were +22% in response to that deal.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

In mid-July 2026, the New Mexico state land commissioner again pushed back, saying that even under the Bloom Energy plan, gas emissions would still be unacceptably high. Some state representatives have proposed a state-wide moratorium on large-scale data center builds (echoing what was passed in New York state) and others have pushed back based on concerns about the process. In terms of upcoming dates, a formal public hearing on the project's air quality permit is scheduled for October 19, 2026 (Oracle and its partners involved in Project Jupiter have filed to move this hearing forward).

Oracle, Bloom Energy, and Energy Transfer - Latest Responses

As noted below, none of the three parties involved in powering the data center (Oracle, Bloom, and Energy Transfer) have explicitly acknowledged delays (although in our view Bloom came close) nor down-ticked on their guidance as a result.

- **Oracle**: As noted in Figure 8 above, Oracle has guided to a 1H CY27 timeline for customer delivery to begin and we have not heard anything to suggest that Oracle is walking that timeline back. In late-June, Oracle tweeted: *"Project Jupiter's energy plan reflects our continued focus on transparency, accountability and responsible development in Dona Ana County. The new approach is designed to reduce local emissions, lower operational water demand and support long-term community and economic benefits in southern New Mexico"*.
- **Bloom Energy**: On its recent late-July earnings call, Bloom took a question about project delays that have been in the news, to which the company responded, *"Bloom is not dependent on one customer or one project. Our contracts are structured with master service agreements, and there is flexibility for us to deploy this equipment, we have strong protections with our contracts. And when we gave you our 2026 revenue guidance, it is not dependent on any single project"*. In our judgement, this answer does not push back on the potential for Project Jupiter delays, only that any delays are baked into the guide.
- **Energy Transfer**: ET is the midstream natural gas company responsible for delivering the gas pipeline to Project Jupiter. When asked about the project's potential delays on their August 4th earnings call, the company responded, "*We have been working with both the Federal Energy Regulation Commission and the Bureau of Land Management and all the stakeholders that are involved and are very confident that they understand the importance of these data center projects and the importance on the ability to execute through the regulatory process… so we're … very confident this pipeline will be put into service and will be ultimately successful…. maybe delayed a little bit from where we first anticipated, but we're going to get there.*"

Independent Check – Delays Will be Overcome

This week we spoke with an independent check with visibility into Oracle's Project Jupiter in New Mexico and we offer the unvarnished feedback below. Bottom line, this call was a relief, making us more comfortable that the risk of Project Jupiter being blocked/scuttled may be less than the investor consensus.

- *The main players on this build are Stack Infrastructure, ClayCo and Kiewit – they are developing and building the site. Oracle is the operator, its role is to manage the data center operations, and OpenAI is the tenant.*
- *The building permits have been granted and construction is underway, it is still moving along, progressing. On site there are two shifts of workers, but they are running behind given the local opposition and hence are not up to the target of having 3,000-4,000 workers on site. There are no finished buildings yet, they are at the foundation, footprint phase. The initial 1.2 GW plan is for data centers or buildings, each with 300 MW of powered capacity.*

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

- *The delays or pause are a result of New Mexico government push-back to the power/micro-grid plan, air quality issues. There was resistance to the gas pipeline and turbine plan that forced a pivot to using fuel cells from Bloom Energy, how power will be accessed. That resulted in delays given the new energy plan and created cost over-runs. The delays are partly due to local opposition, mostly about the Democratic government in New Mexico pledging to protect citizens from environmental pollution. This is not Texas, that has no problem with some environmental issues. Community opposition is the new obstacle, it's a real thing now. I have heard that there is an RFP out there to secure 500 MW of solar power, just as a back-up plan and perhaps to give the developers some leverage.*
- *Second, I'd say in retrospect, the proposal was likely cobbled together with a "we'll get this done" cowboy attitude and the developers probably under-estimated the local government opposition, over-estimated their government connections. But Stack is the key developer for the site, they know what they're doing, they are not rookies.*
- *In my judgement, there is a 90% chance that the initial 1.2 GW build gets approved and built. If anything, the push-back could scuttle the up-sizing of the site, but not the core 1.2 GW. I just don't think the New Mexico state/local push-back will block the project, that would set a whole new precedent and I suspect the US government would get involved if that happened. Air Quality Index or AQI reviews are normal, they are part of every build, this project is no different they'll power through this. This is the wheels of government turning slowly, they'll get there.*
- *Can Oracle hit its 1H27 go-live timeframe? I think so. Remember, they have 200 MW of power secured off the grid, from utilities. So they can use that power to kick-start things, get the first 150 MW of so of capacity live. That's enough to light up 2 of the 4 halls in the data center buildings. The full go-live of 1.2 GW was always going to take 2+ years, let's say to the end of 2028, that remains doable.*

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Customer Mix and Competition

The final OCI-related investor concern that we'll address is the customer concentration as well as competitive changes in the AI infrastructure market.

Customer Concentration

OpenAI Exposure

Oracle's RPO/cloud commit balance was $638 billion as at the end of 4Q/May. While Oracle has not been clear about the size of the OpenAI commitment, if OpenAI's RPO balance is ~$250 billion, then OpenAI alone would represent ~40% of the total backlog. As such, Oracle shares are often traded as if Oracle is an "OpenAI proxy" stock, a tailwind when OpenAI sentiment is improving and a headwind when sentiment is weakening. Over the last few months, as investors have absorbed shifts in the AI market (more token optimizing, share gains by open/custom models, a maturation of the consumer ChatGPT market), investors have become more concerned about OpenAI's out-year revenue growth profile, which has weighed on Oracle shares.

These concerns have abated over the last few weeks, coinciding with a recovery in Oracle shares, due to a) media articles (see link here) about OpenAI's ARR growth in the month of July being up sharpy and b) Microsoft (also with material OpenAI exposure) posting 4Q/Jun Azure numbers that did not show any signs of weakness in spending by OpenAI/Anthropic or from enterprises procuring OpenAI/Anthropic models and 1P products through Microsoft. Moreover, in public comments (events, blogs, tweets, pods), OpenAI executives have not made any comments suggesting that their need for compute has waned (on the contrary, their comments continue to point to a constrained supply of cloud-hosted compute). Bottom line, we conclude that "OpenAI deceleration" concerns are already baked into Oracle shares and may be over-stated.

Rest of the Customer Mix

One recent industry check made reference to the "big 5" Oracle OCI customers, which we presume are OpenAI, Microsoft, Meta, xAI/SpaceX and Nvidia (we wonder if Uber belongs on that short list). There are longer-term risks to this customer segment, including Microsoft (risk of a down-sizing upon renewal if/as Microsoft stands up sufficient 1P data center capacity and Microsoft views 3P capacity from Oracle and others as a "bridge") and xAI/SpaceX (risk of a down-sizing upon renewal if/as SpaceX stands up sufficient 1P data center capacity, a real risk given the very aggressive 2027 GPU capacity plan articulated by SpaceX on its earnings call this week). This may be a lingering investor concern until Oracle shows incremental progress in diversifying its OCI customer base away from behemoth tech firms that are also direct players in the AI infrastructure market. In our view Oracle shares could re-rate on real progress in terms of large-scale OCI wins with traditional non-tech enterprise customers and also more AI-natives apart from the frontier labs (these hyper-growth AI-natives run primarily on the Big 3 hyperscalers as well as the neo-clouds, but we don't hear about them running on OCI as often).

Competition Heating Up

Demand for AI infrastructure is so material that it is no surprise that there are many providers of AI compute infrastructure, from the Big 3 hyperscalers AWS, Microsft Azure and Google Cloud to smaller emerging AI-focused players including CoreWeave, Nebius, IREN, Nscale, Lambda, Crusoe and others. The newer twist is the emergence of an entirely new class of "inference platform" firms that today run on 3P cloud infrastructure providers, including Fireworks, Baseten and Together. Large hyper-growth TAMs attract a plethora of competitors and to date we've erred on the side of applauding Oracle's success in wedging its way into the short list of major AI infra provides rather than being too concerned about competitors. That is still generally our view, as long as demand and GPU pricing trends remain robust.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

That said, there have been a few new competitive trends to absorb. Three have stood out to us: 1. SpaceX (an Oracle customer) stepping into the market over the last few months by selling excess AI compute capacity to Anthropic and Google, as well as disclosing another ~$13 billion of annualized revs from new customers signed in the month of July alone 2. Meta stating that given such strong demand for AI compute and "a lot of offers for our compute at a significant premium over what we paid for it", they are likely to begin selling capacity directly to large external customers and 3. Recent news that OpenAI is partnering with Softbank, Nvidia and others to build and run a massive (pitched as up to 10 GW) data center in Pike County, Ohio, a project that as far as we can tell does not involve Oracle or Microsoft (evidence of OpenAI playing a more a direct role).

Bottom line, these trends point to more players in the space over the long-term, potentially more limits on the ability to drive pricing (although demand is so strong that near-term GPU pricing appears to be moving up) and the frontier labs taking more of a direct role in operating their infrastructure, a role that to date is being played by Oracle and Microsoft. What Oracle has is an enterprise edge – SpaceX and Meta have limited inroads to F500 enterprise buyers, while this is Oracle's stronghold. Hence our desire to see Oracle make more progress on securing large OCI wins with traditional non-tech enterprise customers.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Sentiment and Valuation

Let's finish by linking these fundamental trends/concerns to Oracle shares. Oracle shares are -27% since what was on the surface a very strong 4Q/May print, marked by total c/c revs growth of 20% (high end of the guide), cloud infra growth of 92% (in-line) and a solid margin/EPS beat. The real upside was in the 1Q/Aug Cloud guide, which assuming stable 8-9% SaaS growth implies outstanding infra/OCI growth of 120%, well above our previous +105% estimate as the pace of AI capacity additions accelerates to almost a full 1 GW in 1Q/Aug (similar to Microsoft). The sharp post-print fade in the stock was in our view due to two perceived negatives, including a) the FY27 guide was merely reaffirmed despite the capacity adds, new bookings and RIF savings, although we suspect that the new CFO is starting her tenure by being conservative, and b) FCF estimates moved down as the FY27 capex guide landed above Street estimates. Post-print, the stock has been weighed-down by the issues we discuss in this report – lingering concerns about a need for further capex guidance increases, a tightening of credit spreads and appetite in credit markets for large-scale AI-related infrastructure deals and go-live challenges including what is playing out in New Mexico.

Our call is that the stock now reflects a plethora of perceived risks and that some of these risks (such as concerns that the New Mexico site could be blocked) might be over-stated. As such, the set-up is improved as Oracle's AI-exposed peers (Microsoft, Amazon, the neo-clouds) have seen their stocks materially re-rate. The material expected revenue growth acceleration – perhaps the biggest growth acceleration story in all of tech – has barely begun and there may be upside to FY27 numbers. As noted in Figure 9 below, the stock trades at 16x CY27e EPS and at 11x CY28e EPS (below the peer group). Oracle is expected to post much faster revs growth and investors need to price in very high AI exposure. Net, we remain Buy-rated, but in light of the lingering concerns addressed in this report, we're lowering our PT from $285 to $245. This is based on a target multiple of 19x C28e non-GAAP EPS, a premium to the peer group, reasonable for 30%+ revs growth.

Figure 9: Peer Group Valuation Multiples

		Price	% Change	Market	Revenue Growth			EV/FCF			P/E		
Company	**Ticker**	**8/4/2026**	**YTD**	**Cap**	**CY26E**	**CY27E**	**CY28E**	**CY26E**	**CY27E**	**CY28E**	**CY26E**	**CY27E**	**CY28E**
Microsoft Corp.	MSFT	$488.22	1%	$3,663,381	18%	17%	20%	54.3x	113.1x	77.5x	26.4x	22.7x	18.8x
SAP SE	SAP-DE	$169.26	(19%)	$198,931	9%	12%	12%	19.5x	17.1x	15.0x	23.8x	20.4x	17.3x
Autodesk, Inc.	ADSK	$237.02	(20%)	$51,370	14%	10%	11%	18.2x	16.3x	14.2x	19.1x	16.9x	14.7x
Oracle Corp.	**ORCL**	**$143.77**	**(26%)**	**$424,832**	**26%**	**39%**	**44%**	**NM**	**NM**	**NM**	**19.5x**	**16.0x**	**11.3x**
ServiceNow, Inc.	NOW	€ 116.63	(24%)	$126,334	22%	19%	19%	22.9x	18.5x	15.2x	28.6x	23.2x	19.1x
Salesforce, Inc.	CRM	$191.83	(28%)	$164,782	11%	9%	10%	12.7x	11.7x	10.8x	13.7x	12.4x	10.8x
Alphabet, Inc.	GOOG	$361.88	15%	$4,532,547	23%	22%	19%	NM	NM	NM	17.9x	24.1x	20.5x
Workday, Inc.	WDAY	$169.75	(21%)	$41,927	12%	11%	11%	13.6x	11.8x	10.0x	16.0x	13.6x	11.7x
Adobe, Inc.	ADBE	$256.74	(27%)	$105,494	12%	9%	9%	10.3x	9.5x	8.7x	10.4x	9.2x	8.1x
Amazon.com, Inc.	AMZN	$272.58	18%	$2,940,135	15%	14%	16%	NM	NM	88.3x	22.4x	25.9x	20.0x
Mean:			**(13%)**		**16%**	**16%**	**17%**	**21.6x**	**28.3x**	**30.0x**	**19.8x**	**18.4x**	**15.2x**
Median:			**(20%)**		**15%**	**13%**	**14%**	**18.2x**	**16.3x**	**14.6x**	**19.3x**	**18.6x**	**16.0x**

Source: Factset

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Oracle Corporation (ORCL.N)

Income Statement (US$m)	05/23	05/24	05/25	05/26E	%ch	05/27E	%ch	05/28E	05/29E	05/30E
Revenues	**49,955**	**52,961**	**57,399**	**67,358**	*17.4*	**89,889**	*33.5*	**129,006**	**175,928**	**209,177**
Gross profit	36,982	38,536	41,313	45,196	*9.4*	53,400	*18.2*	70,105	88,385	105,869
EBITDA (UBS)	**23,430**	**26,183**	**28,901**	**36,548**	*26.5*	**50,304**	*37.6*	**73,377**	**103,843**	**128,977**
Depreciation & amortisation	(2,526)	(3,129)	(3,867)	(7,623)	*-97.1*	(13,020)	*-70.8*	(21,927)	(35,111)	(43,785)
EBIT (UBS)	**20,904**	**23,054**	**25,034**	**28,925**	*15.5*	**37,284**	*28.9*	**51,450**	**68,732**	**85,192**
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	0	0	0	0	-	0	-	0	0	0
Net interest	(3,967)	(3,612)	(3,518)	(1,050)	*70.2*	(5,874)	*NM*	(8,507)	(8,894)	(8,519)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**16,937**	**19,442**	**21,516**	**27,875**	*29.6*	**31,410**	*12.7*	**42,943**	**59,838**	**76,672**
Tax	(2,760)	(3,733)	(4,231)	(5,537)	*-30.9*	(6,282)	*-13.5*	(8,589)	(11,968)	(15,334)
Profit after tax	**14,177**	**15,709**	**17,285**	**22,338**	*29.2*	**25,128**	*12.5*	**34,355**	**47,870**	**61,338**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	(1,421)	(2,704)	(4,506)	(4,218)	*6.4*	(2,616)	*38.0*	(3,216)	(3,816)	(4,416)
Net earnings (local GAAP)	**12,756**	**13,005**	**12,779**	**18,120**	*41.8*	**22,512**	*24.2*	**31,139**	**44,054**	**56,922**
Net earnings (UBS)	**14,177**	**15,709**	**17,285**	**22,338**	*29.2*	**25,128**	*12.5*	**34,355**	**47,870**	**61,338**
Tax rate (%)	16.3	19.2	19.7	19.9	*1.0*	20.0	*0.7*	20.0	20.0	20.0

Per Share (US$)	05/23	05/24	05/25	05/26E	%ch	05/27E	%ch	05/28E	05/29E	05/30E
EPS (UBS, diluted)	5.12	5.56	6.03	7.66	*27.0*	8.14	*6.1*	10.82	14.78	18.56
EPS (local GAAP, diluted)	4.61	4.61	4.46	6.22	*39.4*	7.29	*17.2*	9.81	13.60	17.23
EPS (UBS, basic)	5.18	5.64	6.10	7.73	*26.8*	8.18	*5.7*	10.96	14.97	18.80
DPS (net) (US$)	1.35	1.60	1.70	2.03	*19.0*	2.01	*-0.7*	2.02	2.02	2.02
Cash EPS (UBS, diluted) [1]	6.04	6.67	7.38	10.28	*39.2*	12.35	*20.1*	17.73	25.62	31.81
Book value per share	0.57	3.33	7.55	14.80	*96.0*	31.14	*110.5*	44.32	56.29	71.84
Average shares (diluted)	2,766	2,823	2,865	2,915	*1.7*	3,089	*6.0*	3,175	3,239	3,304

Balance Sheet (US$m)	05/23	05/24	05/25	05/26E	%ch	05/27E	%ch	05/28E	05/29E	05/30E
Cash and equivalents	10,187	10,661	11,203	31,894	*184.7*	30,055	*-5.8*	15,996	25,401	62,922
Other current assets	10,817	11,893	13,376	14,673	*9.7*	20,563	*40.1*	35,213	57,467	69,744
Total current assets	**21,004**	**22,554**	**24,579**	**46,567**	*89.5*	**50,618**	*8.7*	**51,208**	**82,868**	**132,666**
Net tangible fixed assets	17,069	21,536	43,522	99,957	*129.7*	183,568	*83.6*	271,296	310,954	329,922
Net intangible fixed assets	62,261	62,230	62,207	62,261	*0.1*	62,261	*0.0*	62,261	62,261	62,261
Investments / other assets	34,050	34,656	38,053	52,974	*39.2*	49,950	*-5.7*	48,222	48,222	48,222
Total assets	**134,384**	**140,976**	**168,361**	**261,759**	*55.5*	**346,397**	*32.3*	**432,987**	**504,305**	**573,071**
Trade payables & other ST liabilities	19,029	20,939	25,372	34,565	*36.2*	44,244	*28.0*	60,846	78,103	89,453
Short term debt	4,061	10,605	7,271	7,199	*-1.0*	7,199	*0.0*	7,199	7,199	7,199
Total current liabilities	**23,090**	**31,544**	**32,643**	**41,764**	*27.9*	**51,443**	*23.2*	**68,045**	**85,302**	**96,652**
Long term debt	86,420	76,264	85,297	122,342	*43.4*	142,342	*16.3*	167,342	167,342	167,342
Other long term liabilities	23,318	23,929	29,452	54,597	*85.4*	56,208	*3.0*	57,654	70,322	72,983
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**132,828**	**131,737**	**147,392**	**218,703**	*48.4*	**249,993**	*14.3*	**293,041**	**322,966**	**336,977**
Common s/h equity	**1,556**	**9,239**	**20,969**	**43,056**	*105.3*	**96,404**	*123.9*	**139,946**	**181,339**	**236,094**
Minority interests	0	0	0	0	-	0	-	0	0	0
Total liabilities & equity	**134,384**	**140,976**	**168,361**	**261,759**	*55.5*	**346,397**	*32.3*	**432,987**	**504,305**	**573,071**

Cash Flow (US$m)	05/23	05/24	05/25	05/26E	%ch	05/27E	%ch	05/28E	05/29E	05/30E
Net income (before pref divs)	12,756	13,005	12,779	18,120	*41.8*	22,512	*24.2*	31,139	44,054	56,922
Depreciation & amortisation	2,526	3,129	3,867	7,623	*97.1*	13,020	*70.8*	21,927	35,111	43,785
Net change in working capital	513	(488)	(1,500)	4,135	-	5,350	*29.4*	2,749	7,021	1,083
Other operating	5,623	5,565	6,011	3,132	*-47.9*	7,784	*148.5*	8,384	3,816	4,416
Operating cash flow	**21,418**	**21,211**	**21,157**	**33,010**	*56.0*	**48,666**	*47.4*	**64,199**	**90,002**	**106,207**
Tangible capital expenditure	(8,695)	(6,866)	(21,215)	(55,663)	*-162.4*	(96,631)	*-73.6*	(109,655)	(74,770)	(62,753)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(27,721)	(63)	0	0	-	0	-	0	0	0
Other investing	(68)	(431)	(496)	3,809	-	0	-	0	0	0
Investing cash flow	**(36,484)**	**(7,360)**	**(21,711)**	**(51,854)**	*-138.8*	**(96,631)**	*-86.4*	**(109,655)**	**(74,770)**	**(62,753)**
Equity dividends paid	(3,668)	(4,391)	(4,743)	(5,787)	*-22.0*	(6,134)	*-6.0*	(6,305)	(6,432)	(6,562)
Share issues / (buybacks)	(108)	(460)	53	1,354	*NM*	580	*-57.1*	703	605	629
Other financing	(209)	(70)	124	96	*-22.6*	0	-	0	0	0
Change in debt & pref shares	11,686	(5,703)	5,788	44,717	*NM*	40,000	*-10.5*	25,000	0	0
Financing cash flow	**7,701**	**(10,624)**	**1,222**	**40,380**	*NM*	**34,446**	*-14.7*	**19,397**	**(5,828)**	**(5,933)**
Cash flow inc/(dec) in cash	**(7,365)**	**3,227**	**668**	**21,536**	*NM*	**(13,519)**	-	**(26,059)**	**9,405**	**37,521**
FX / non cash items	(4,350)	(2,753)	(126)	(845)	*NM*	11,680	-	12,000	0	0
Balance sheet inc/(dec) in cash	**(11,715)**	**474**	**542**	**20,691**	*NM*	**(1,839)**	-	**(14,059)**	**9,405**	**37,521**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Oracle Corporation (ORCL.N)

Valuation (x)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
P/E (local GAAP, diluted)	17.6	24.9	35.2	23.3	19.8	14.7	10.6	8.4
P/E (UBS, diluted)	15.8	20.6	26.0	18.9	17.8	13.4	9.8	7.8
P/CEPS	13.3	16.9	21.0	14.0	11.7	8.1	5.6	4.5
Equity FCF (UBS) yield %	5.8	4.5	0.0	(5.4)	(11.4)	(10.8)	3.6	10.3
Dividend yield (net) %	1.7	1.4	1.1	1.4	1.4	1.4	1.4	1.4
P/BV	NM	34.4	20.8	9.8	4.7	3.3	2.6	2.0
EV/revenues (core)	5.1	6.6	8.2	7.6	5.7	4.4	3.2	2.7
EV/EBITDA (UBS core)	10.9	13.4	16.2	14.1	10.2	7.7	5.4	4.3
EV/EBIT (core)	12.2	15.2	18.7	17.8	13.8	11.0	8.2	6.5
EV/OpFCF (core)	17.3	18.1	61.0	NM	NM	NM	19.4	8.4
EV/op. invested capital	3.9	4.2	5.0	4.2	2.9	2.2	1.8	1.6

Enterprise value (US$m)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Market cap.	221,266	316,951	435,760	421,510	421,510	421,510	421,510	421,510
Net debt (cash)	33,116	33,116	33,116	89,506	89,506	139,016	139,016	130,380
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**254,382**	**350,066**	**468,876**	**511,016**	**511,016**	**560,526**	**560,526**	**551,890**
Non core assets	0	0	0	0	0	0	0	0
Core enterprise value	**254,382**	**350,066**	**468,876**	**511,016**	**511,016**	**560,526**	**560,526**	**551,890**

Growth (%)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Revenue	17.7	6.0	8.4	17.4	33.5	43.5	36.4	18.9
EBITDA (UBS)	8.6	11.7	10.4	26.5	37.6	45.9	41.5	24.2
EBIT (UBS)	6.7	10.3	8.6	15.5	28.9	38.0	33.6	23.9
EPS (UBS, diluted)	4.5	8.6	8.4	27.0	6.1	33.0	36.6	25.6
Net DPS	7.2	18.2	6.3	19.0	(0.7)	0.3	0.0	0.0

Margins & Profitability (%)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Gross profit margin	74.0	72.8	72.0	67.1	59.4	54.3	50.2	50.6
EBITDA margin	46.9	49.4	50.4	54.3	56.0	56.9	59.0	61.7
EBIT (UBS) margin	41.8	43.5	43.6	42.9	41.5	39.9	39.1	40.7
Net earnings (UBS) margin	28.4	29.7	30.1	33.2	28.0	26.6	27.2	29.3
ROIC (EBIT)	32.2	27.6	26.7	23.8	20.9	20.0	21.9	25.1
ROIC post tax	26.9	22.3	21.4	19.1	16.7	16.0	17.5	20.1
ROE (UBS)	<-500	291.0	114.4	69.8	36.0	29.1	29.8	29.4

Capital structure & Coverage (x)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Net debt / EBITDA	3.4	2.9	2.8	2.7	2.4	2.2	1.4	0.9
Net debt / total equity %	NM	NM	NM	226.8	123.9	113.3	82.2	47.3
Net debt / (net debt + total equity) %	98.1	89.2	79.5	69.4	55.3	53.1	45.1	32.1
Net debt/EV %	26.4	22.4	16.8	17.5	21.2	24.8	27.4	23.6
Capex / depreciation %	NM	NM	NM	NM	NM	NM	NM	143.3
Capex / revenue %	17.4	13.0	NM	NM	NM	NM	NM	30.0
EBIT / net interest	5.3	6.4	7.1	27.5	6.3	6.0	7.7	10.0
Dividend cover (UBS)	3.8	3.5	3.6	3.8	4.1	5.4	7.4	9.3
Div. payout ratio (UBS) %	26.2	28.4	27.9	26.2	24.6	18.4	13.5	10.7

Revenues by division (US$m)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Others	49,955	52,961	57,399	67,358	89,889	129,006	175,928	209,177
Total	**49,955**	**52,961**	**57,399**	**67,358**	**89,889**	**129,006**	**175,928**	**209,177**

EBIT (UBS) by division (US$m)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Others	20,904	23,054	25,034	28,925	37,284	51,450	68,732	85,192
Total	**20,904**	**23,054**	**25,034**	**28,925**	**37,284**	**51,450**	**68,732**	**85,192**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Forecast returns

Forecast price appreciation	69.8%
Forecast dividend yield	1.4%
Forecast stock return	71.2%
Market return assumption	9.2%
Forecast excess return	62.0%

Company Description

Oracle is one of the world's largest and most profitable software companies, with $50bn in FY23 revenue and around 164,000 employees. It is a leading provider of database, middleware, business application software, and cloud infrastructure, as well as engineered software/hardware systems used by large enterprises and public organizations of all sizes around the world. ORCL is headquartered in Austin, Texas and went public in 1986.

Valuation Method and Risk Statement

Our price target is based on a FCF multiple. Risks to our price target to the upside include greater-than-expected market share gains from Workday and SAP leading to Oracle's topline metrics improving and multiple re-rating, while risks to the downside include Oracle's recent sales re-organization creating execution risk and potentially slipped deals leading to Oracle disappointing on near-term expectations, limited traction with Oracle's Cloud offering and tougher competition.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Oracle Corporation

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	5
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	N/A
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Required Disclosures

This document has been prepared by UBS Securities LLC, an affiliate of UBS AG. UBS AG, its subsidiaries, branches and affiliates, including former Credit Suisse AG and its subsidiaries, branches and affiliates are referred to herein as "UBS".

For information on the ways in which UBS manages conflicts and maintains independence of its UBS Global Research product; historical performance information; certain additional disclosures concerning UBS Global Research recommendations; and terms and conditions for certain third party data used in research report, please visit https://www.ubs.com/disclosures. Unless otherwise indicated, information and data in this report are based on company disclosures including but not limited to annual, interim, quarterly reports and other company announcements. The figures contained in performance charts refer to the past; past performance is not a reliable indicator of future results. Additional information will be made available upon request. UBS Securities Co. Limited is licensed to conduct securities investment consultancy businesses by the China Securities Regulatory Commission. UBS acts or may act as principal in the debt securities (or in related derivatives) that may be the subject of this report. This recommendation was finalized on: 05 August 2026 09:48 PM GMT. UBS has designated certain UBS Global Research department members as Derivatives Research Analysts where those department members publish research principally on the analysis of the price or market for a derivative, and provide information reasonably sufficient upon which to base a decision to enter into a derivatives transaction. Where Derivatives Research Analysts co-author research reports with Equity Research Analysts or Economists, the Derivatives Research Analyst is responsible for the derivatives investment views, forecasts, and/or recommendations. **Quantitative Research Review:** UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For the latest responses, please see the Quantitative Research Review Addendum at the back of this report, where applicable. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research team on the email above.

Analyst Certification:
Each research analyst primarily responsible for the content of this research report, in whole or in part, certifies that with respect to each security or issuer that the analyst covered in this report: (1) all of the views expressed accurately reflect his or her personal views about those securities or issuers and were prepared in an independent manner, including with respect to UBS, and (2) no part of his or her compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in the research report.

UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:Forecast Stock Return (FSR) is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have an investment horizon of 12 months.

EXCEPTIONS AND SPECIAL CASES:UK and European Investment Fund ratings and definitions are: Buy: Positive on factors such as structure, management, performance record, discount; **Neutral:** Neutral on factors such as structure, management, performance record, discount; **Sell:** Negative on factors such as structure, management, performance record, discount. **Core Banding Exceptions (CBE):** Exceptions to the standard +/-6% bands may be granted by the Investment Review Consultation (IRC). Factors considered by the IRC include the stock's volatility and the credit spread of the respective company's debt. As a result, stocks deemed to be very high or low risk may be subject to higher or lower bands as they relate to the rating. When such exceptions apply, they will be identified in the Company Disclosures table in the relevant research piece.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Research analysts contributing to this report who are employed by any non-US affiliate of UBS Securities LLC are not registered/ qualified as research analysts with FINRA. Such analysts may not be associated persons of UBS Securities LLC and therefore are not subject to the FINRA restrictions on communications with a subject company, public appearances, and trading securities held by a research analyst account. The name of each affiliate and analyst employed by that affiliate contributing to this report, if any, follows.

UBS Securities LLC: Chris Giuditta, Dean Marriott, Karl Keirstead, Radi Sultan, CFA.

Company Disclosures

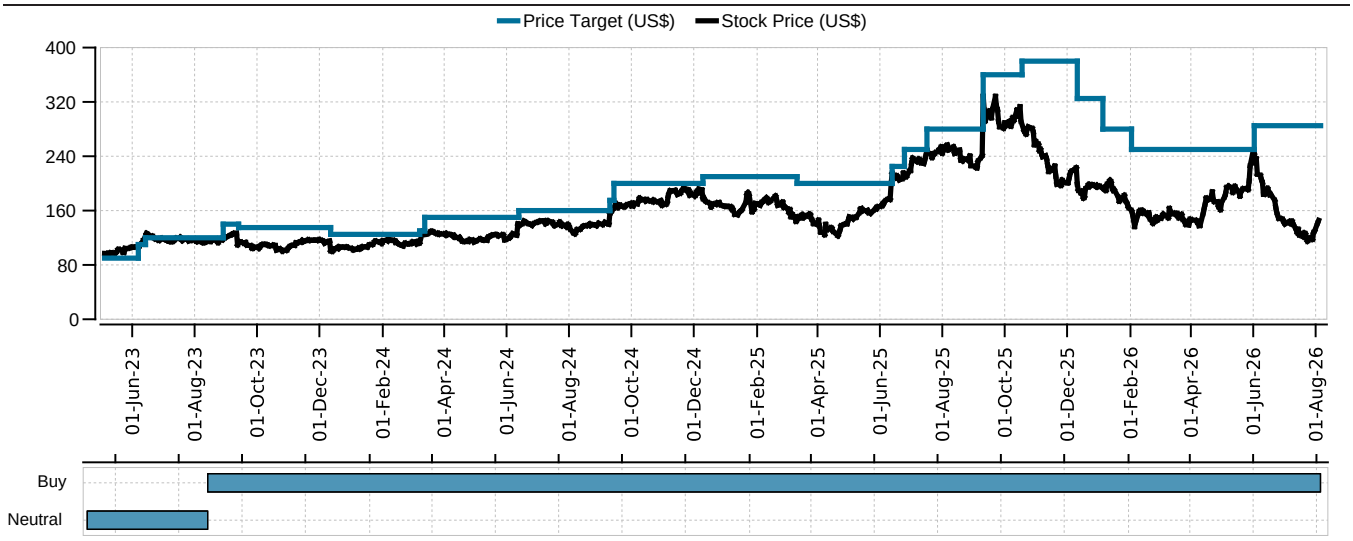
Company Name	Reuters	12-month rating	Price	Price date
Oracle Corporation[16,28,7]	ORCL.N	Buy	US$145.74	04 Aug 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

7. Within the past 12 months, UBS has received compensation for products and services other than investment banking services from this company/entity.
16. UBS Securities LLC makes a market in the securities and/or ADRs of this company.
28. UBS holds a long position of 0.5% or more of the listed shares of this company.

Unless otherwise indicated, please refer to the Valuation and Risk sections within the body of this report. For a complete set of disclosure statements associated with the companies discussed in this report, including information on valuation and risk, please contact UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research.

Oracle Corporation (US$)



Date	Stock Price (US$)	Price Target (US$)	Rating
2023-05-04	94.97	90.00	Neutral
2023-06-06	107.10	110.00	Neutral
2023-06-13	116.68	120.00	Neutral
2023-08-28	116.84	140.00	Buy
2023-09-12	109.61	135.00	Buy
2023-12-11	115.13	125.00	Buy
2024-03-07	114.54	130.00	Buy
2024-03-12	127.54	150.00	Buy
2024-06-12	140.38	160.00	Buy
2024-09-09	139.89	175.00	Buy
2024-09-13	162.03	200.00	Buy
2024-12-09	190.45	210.00	Buy
2025-03-11	144.18	200.00	Buy
2025-06-12	199.86	225.00	Buy
2025-06-24	215.27	250.00	Buy
2025-07-16	241.30	280.00	Buy
2025-09-09	241.51	360.00	Buy
2025-10-17	291.31	380.00	Buy

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

Date	Stock Price (US$)	Price Target (US$)	Rating
2025-12-10	223.01	325.00	Buy
2026-01-04	195.71	280.00	Buy
2026-02-01	164.58	250.00	Buy
2026-06-01	248.15	285.00	Buy

Source: UBS Global Research; LSEG Eikon as of 04-Aug-2026. All prices as of local market close. Ratings as of date shown.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

The Disclaimer relevant to Global Wealth Management clients follows the Global Research Disclaimer.

UBS Global Research Disclaimer

This document has been prepared by UBS Securities LLC, an affiliate of UBS AG. UBS AG, its subsidiaries, branches and affiliates, including former Credit Suisse AG and its subsidiaries, branches and affiliates are referred to herein as "UBS".

Any opinions expressed in this document may change without notice and are only current as of the date of publication. Different areas, groups, and personnel within UBS may produce and distribute separate research products independently of each other. For example, research publications from **UBS CIO** are produced by UBS Global Wealth Management. **UBS Global Research** is produced by UBS Investment Bank. Research methodologies and rating systems of each separate research organization may differ, for example, in terms of investment recommendations, investment horizon, model assumptions, and valuation methods. As a consequence, except for certain economic forecasts (for which UBS CIO and UBS Global Research may collaborate), investment recommendations, ratings, price targets, and valuations provided by each of the separate research organizations may be different, or inconsistent. You should refer to each relevant research product for the details as to their methodologies and rating system. Not all clients may have access to all products from every organization. Each research product is subject to the policies and procedures of the organization that produces it.

This document is provided solely to recipients who are expressly authorized by UBS to receive it. If you are not so authorized you must immediately destroy the document.

UBS Global Research is provided to our clients through UBS Neo, and in certain instances, UBS.com and any other system or distribution method specifically identified in one or more communications distributed through UBS Neo or UBS.com (each a system) as an approved means for distributing UBS Global Research. It may also be made available through third party vendors and distributed by UBS and/or third parties via e-mail or alternative electronic means.

All UBS Global Research is available on UBS Neo. Please contact your UBS sales representative if you wish to discuss your access to UBS Neo. Where UBS Global Research refers to "UBS Evidence Lab Inside" or has made use of data provided by UBS Evidence Lab and you would like to access that data please contact your UBS sales representative. UBS Evidence Lab data is available on UBS Neo. The level and types of services provided by UBS Global Research and UBS Evidence Lab to a client may vary depending upon various factors such as a client's individual preferences as to the frequency and manner of receiving communications, a client's risk profile and investment focus and perspective (e.g., market wide, sector specific, long-term, short-term, etc.), the size and scope of the overall client relationship with UBS Global Research and UBS Evidence Lab and legal and regulatory constraints. UBS HOLT and UBS Pharma Values are offerings of UBS Global Research. HOLT Lens is a corporate performance platform offering that provides an objective accounting-led framework for comparing and valuing companies and is available to clients of UBS Global Research; for further details and pricing please contact your UBS Sales representative. In particular, HOLT has a variety of warranted prices based on the scenario chosen; please mail UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research, if you are interested in the warranted price on a particular company, again subject to commercial considerations. UBS Pharma Values is an analytical tool that involves the creation of a number of individual product net present value calculations, based on published forecasts of sales for pharmaceuticals, and is available to clients of UBS Global Research; for further details and pricing please contact your UBS Sales representative. For all other specific disclaimers, please see https://www.ubs.com/disclosures.

When you receive UBS Global Research through a system, your access and/or use of such UBS Global Research is subject to this UBS Global Research Disclaimer and to the UBS Neo Platform Use Agreement (the "Neo Terms") together with any other relevant terms of use governing the applicable System.

When you receive UBS Global Research via a third party vendor, e-mail or other electronic means, you agree that use shall be subject to this UBS Global Research Disclaimer, the Neo Terms and where applicable the UBS Investment Bank terms of business (https://www.ubs.com/global/en/investment-bank/regulatory.html) and to UBS's Terms of Use/Disclaimer (https://www.ubs.com/global/en/legalinfo2/disclaimer.html). In addition, you consent to UBS processing your personal data and using cookies in accordance with our Privacy Statement (https://www.ubs.com/global/en/legalinfo2/privacy.html) and cookie notice (https://www.ubs.com/global/en/legal/privacy/users.html).

If you receive UBS Global Research, whether through a System or by any other means, you agree that you shall not copy, revise, amend, create a derivative work, provide to any third party, or in any way commercially exploit any UBS research provided via UBS Global Research or otherwise, and that you shall not extract data from any research or estimates provided to you via UBS Global Research or otherwise, without the prior written consent of UBS. You agree not to use UBS Global Research in any artificial intelligence system, without the prior written consent of UBS.

In certain circumstances you may receive UBS Global Research otherwise than in the capacity of a client of UBS and you understand and agree that under these circumstances (i) the UBS Global Research is provided to you for information purposes only; (ii) for the purposes of receiving it you are not intended to be and will not be treated as a "client" of UBS for any legal or regulatory purpose; (iii) the UBS Global Research must not be relied on or acted upon for any purpose; and (iv) such content is subject to the relevant disclaimers that follow.

This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject UBS to any registration or licensing requirement within such jurisdiction.

This document is a general communication and is educational in nature; it is not an advertisement nor is it a solicitation or an offer to buy or sell any financial instruments or to participate in any particular trading strategy. Nothing in this document constitutes a representation that any investment strategy or recommendation is suitable or appropriate to an investor's individual circumstances or otherwise constitutes a personal recommendation. By providing this document, none of UBS or its representatives has any responsibility or authority to provide or have provided investment advice in a fiduciary capacity or otherwise. Investments involve risks, and investors should exercise prudence and their own judgment in making their investment decisions. None of UBS or its representatives is suggesting that the recipient or any other person take a specific course of action or any action at all. The recipient should carefully read this document in its entirety and not draw inferences or conclusions from the rating alone. By receiving this document, the recipient acknowledges and agrees with the intended purpose described above and further disclaims any expectation or belief that the information constitutes investment advice to the recipient or otherwise purports to meet the investment objectives of the recipient. The financial instruments described in the document may not be eligible for sale in all jurisdictions or to certain categories of investors.

Options, structured derivative products and futures (including OTC derivatives) are not suitable for all investors. Trading in these instruments is considered risky and may be appropriate only for sophisticated investors. Prior to buying or selling an option, and for the complete risks relating to options, you must receive a copy of "The Characteristics and Risks of Standardized Options." You may read the document at https://www.theocc.com/publications/risks/riskchap1.jsp or ask your salesperson for a copy. Various theoretical explanations of the risks associated with these instruments have been published. Supporting documentation for any claims, comparisons, recommendations, statistics or other technical data will be supplied upon request. Past performance is not necessarily indicative of future results. Transaction costs may be significant in option strategies calling for multiple purchases and sales of options, such as spreads and straddles. Because of the importance of tax considerations to many options transactions, the investor considering options should consult with his/her tax advisor as to how taxes affect the outcome of contemplated options transactions.

Mortgage and asset-backed securities may involve a high degree of risk and may be highly volatile in response to fluctuations in interest rates or other market conditions. Foreign currency rates of exchange may adversely affect the value, price or income of any security or related instrument referred to in the document. For investment advice, trade execution or other enquiries, clients should contact their local sales representative.

UBS notes that no globally accepted framework or definition (legal, regulatory or otherwise) currently exists, nor is there a market consensus as to what constitutes an "ESG" (Environmental, Social or Governance) or an equivalent-label, or as to what precise attributes are required for the Information (as defined below) to be defined as ESG or equivalently-labelled. Any information, data or other content including from a third party source contained, referred to herein or used for whatsoever purpose by UBS or a third party ("Information"), in relation to any actual or potential ESG objective, issue or consideration is not intended to be relied upon for ESG classification, regulatory regime or industry initiative purposes ("ESG Regimes"). Nothing in these materials is intended to convey, suggest or indicate that UBS considers or represents any product, service, person or body mentioned in these materials as meeting or qualifying for any ESG classification, labelling or similar standards that may exist under the ESG Regimes. UBS has not conducted any assessment of compliance with ESG Regimes. Parties are reminded to make their own assessments for these purposes.

The value of any investment or income may go down as well as up, and investors may not get back the full (or any) amount invested. Past performance is not necessarily a guide to future performance. Neither UBS nor any of its directors, employees or agents accepts any liability for any loss (including investment loss) or damage arising out of the use of all or any of the Information.

Prior to making any investment or financial decisions, any recipient of this document or the information should take steps to understand the risk and return of the investment and seek individualized advice from his or her personal financial, legal, tax and other professional advisors that takes into account all the particular facts and circumstances of his or her investment objectives.

Any prices stated in this document are for information purposes only and do not represent valuations for individual securities or other financial instruments. There is no representation that any transaction can or could have been effected at those prices, and any prices do not necessarily reflect UBS's internal books and records or theoretical model-based valuations and may be based on certain assumptions. Different assumptions by UBS or any other source may yield substantially different results.

No representation or warranty, either expressed or implied, is provided in relation to the accuracy, completeness or reliability of the information contained in any materials to which this document relates (the "Information"), except with respect to Information concerning UBS. The Information is not intended to be a

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

complete statement or summary of the securities, markets or developments referred to in the document. UBS does not undertake to update or keep current the Information. Any statements contained in this report attributed to a third party represent UBS's interpretation of the data, information and/or opinions provided by that third party either publicly or through a subscription service, and such use and interpretation have not been reviewed by the third party. In no circumstances may this document or any of the Information (including any forecast, value, index or other calculated amount ("Values")) be used for any of the following purposes:

(i) valuation or accounting purposes;

(ii) to determine the amounts due or payable, the price or the value of any financial instrument or financial contract; or

(iii) to measure the performance of any financial instrument including, without limitation, for the purpose of tracking the return or performance of any Value or of defining the asset allocation of portfolio or of computing performance fees.

By receiving this document and the Information you will be deemed to represent and warrant to UBS that you will not use this document or any of the Information for any of the above purposes or otherwise rely upon this document or any of the Information.

UBS has policies and procedures, which include, without limitation, independence policies and permanent information barriers, that are intended, and upon which UBS relies, to manage potential conflicts of interest and control the flow of information within divisions of UBS and among its subsidiaries, branches and affiliates. UBS does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. For further information on the ways in which UBS Global Research manages conflicts and maintains independence of its research products, historical performance information and certain additional disclosures concerning UBS Global Research recommendations, please visit https://www.ubs.com/disclosures.

UBS Global Research will initiate, update and cease coverage solely at the discretion of UBS Global Research Management, which will also have sole discretion on the timing and frequency of any published research product. The analysis contained in this document is based on numerous assumptions. All material information in relation to published research reports, such as valuation methodology, risk statements, underlying assumptions (including sensitivity analysis of those assumptions), ratings history etc. as required by the Market Abuse Regulation, can be found on UBS Neo. Different assumptions could result in materially different results.

UBS Global Research may utilise artificial intelligence tools ("AI Tools") in the preparation of this document. Notwithstanding any such use of AI Tools, this document has undergone human review.

The analyst(s) responsible for the preparation of this document may interact with trading desk personnel, sales personnel and other parties for the purpose of gathering, applying and interpreting market information. UBS relies on information barriers to control the flow of information contained in one or more areas within UBS into other areas, units, groups or affiliates of UBS. The compensation of the analyst who prepared this document is determined exclusively by UBS Global Research management and senior management (not including investment banking). Analyst compensation is not based on investment banking revenues; however, compensation may relate to the revenues of UBS and/or its divisions as a whole, of which investment banking, sales and trading are a part, and UBS as a whole.

For financial instruments admitted to trading on an EU regulated market: UBS (excluding UBS Securities LLC) acts as a market maker or liquidity provider (in accordance with the interpretation of these terms under English law or, if not carried out by UBS in the UK the law of the relevant jurisdiction in which UBS determines it carries out the activity) in the financial instruments of the issuer save that where the activity of liquidity provider is carried out in accordance with the definition given to it by the laws and regulations of any other EU jurisdictions, such information is separately disclosed in this document. For financial instruments admitted to trading on a non-EU regulated market: UBS may act as a market maker save that where this activity is carried out in the US in accordance with the definition given to it by the relevant laws and regulations, such activity will be specifically disclosed in this document. UBS may have issued a warrant the value of which is based on one or more of the financial instruments referred to in the document. UBS and its affiliates and employees may have long or short positions, trade as principal and buy and sell in instruments or derivatives identified herein; such transactions or positions may be inconsistent with the opinions expressed in this document.

Within the past 12 months UBS may have received or provided investment services and activities or ancillary services as per MiFID II which may have given rise to a payment or promise of a payment in relation to these services from or to this company.

Please note that all transactions conducted by UBS are consistent with sanctions regulations imposed by Switzerland, the European Union, the United Nations, the United Kingdom and the United States, per UBS' global sanctions policy. UBS opinion as to future investment worthiness assumes no new sanctions are imposed.

US persons are prohibited from purchasing or selling securities of certain companies designated as being associated with the Chinese Military in accordance with the amended US Presidential Executive Order 13959.

United Kingdom: This material is distributed by UBS AG, London Branch to persons who are eligible counterparties or professional clients. UBS AG, London Branch is authorised by the Prudential Regulation Authority and subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. **Europe:** Except as otherwise specified herein, these materials are distributed by UBS Europe SE, a subsidiary of UBS AG, to persons who are eligible counterparties or professional clients (as detailed in the Bundesanstalt fur Finanzdienstleistungsaufsicht (BaFin) Rules and according to MIFID) and are only available to such persons. The information does not apply to, and should not be relied upon by, retail clients. UBS Europe SE is authorised by the European Central Bank (ECB) and regulated by the BaFin and the ECB. **Germany, Luxembourg, the Netherlands, Belgium and Ireland:** Where an analyst of UBS Europe SE has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE. In all cases it is distributed by UBS Europe SE and UBS AG, London Branch. **Turkey:** Distributed by UBS AG, London Branch. No information in this document is provided for the purpose of offering, marketing and sale by any means of any capital market instruments and services in the Republic of Turkey. Therefore, this document may not be considered as an offer made or to be made to residents of the Republic of Turkey. UBS AG, London Branch is not licensed by the Turkish Capital Market Board under the provisions of the Capital Market Law (Law No. 6362). Accordingly, neither this document nor any other offering material related to the instruments/services may be utilized in connection with providing any capital market services to persons within the Republic of Turkey without the prior approval of the Capital Market Board. However, according to article 15 (d) (ii) of the Decree No. 32, there is no restriction on the purchase or sale of the securities abroad by residents of the Republic of Turkey. **Poland:** Distributed by UBS Europe SE (spolka z ograniczona odpowiedzialnoscia) Oddzial w Polsce. Where an analyst of UBS Europe SE (spolka z ograniczona odpowiedzialnoscia) Oddzial w Polsce has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE (spolka z ograniczona odpowiedzialnoscia) Oddzial w Polsce. **Russia:** Prepared and distributed by UBS Bank (OOO). Should not be construed as an individual Investment Recommendation for the purpose of the Russian Law - Federal Law #39-FZ ON THE SECURITIES MARKET Articles 6.1-6.2.**Switzerland:** Distributed by UBS AG to persons who are institutional investors only. UBS AG is regulated by the Swiss Financial Market Supervisory Authority (FINMA). **Italy:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Italy Branch. Where an analyst of UBS Europe SE, Italy Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, Italy Branch. **France:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, France Branch. Where an analyst of UBS Europe SE, France Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, France Branch. **Spain:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Spain Branch. Where an analyst of UBS Europe SE, Spain Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, Spain Branch. **Sweden:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Sweden Branch. Where an analyst of UBS Europe SE, Sweden Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, Sweden Branch. **South Africa:** Distributed by UBS South Africa (Pty) Limited (Registration No. 1995/011140/07), an authorised user of the JSE and an authorised Financial Services Provider (FSP 7328). **Saudi Arabia:** This document has been issued by UBS AG (and/or any of its subsidiaries, branches or affiliates), a public company limited by shares, incorporated in Switzerland with its registered offices at Aeschenvorstadt 1, CH-4051 Basel and Bahnhofstrasse 45, CH-8001 Zurich. This publication has been approved by UBS Saudi Arabia (a subsidiary of UBS AG), a Saudi closed joint stock company incorporated in the Kingdom of Saudi Arabia under commercial register number 1010257812 having its registered office at Tatweer Towers, P.O. Box 75724, Riyadh 11588, Kingdom of Saudi Arabia. UBS Saudi Arabia is authorized and regulated by the Capital Market Authority to conduct securities business under license number 08113-37. **UAE / Dubai:** The information distributed by UBS AG Dubai Branch is only intended for Professional Clients and/or Market Counterparties, as classified under the DFSA rulebook. No other person should act upon this material/communication. The information is not for further distribution within the United Arab Emirates. UBS AG Dubai Branch is regulated by the DFSA in the DIFC. UBS is not licensed to provide banking services in the UAE by the Central Bank of the UAE, nor is it licensed by the UAE Securities and Commodities Authority. **Israel:** This Material is distributed by UBS AG, London Branch. UBS Securities Israel Ltd is a licensed Investment Marketer that is supervised by the Israel Securities Authority (ISA). UBS AG, London Branch and its affiliates incorporated outside Israel are not licensed under the Israeli Advisory Law. UBS may engage among others in issuance of Financial Assets or in distribution of Financial Assets of other issuers for fees or other benefits. UBS AG, London Branch and its affiliates may prefer various Financial Assets to which they have or may have an Affiliation (as such term is defined under the Israeli Advisory Law). Nothing in this Material should be considered as investment advice under the Israeli Advisory Law. This Material is being issued only to and/or is directed only at persons who are Eligible Clients within the meaning of the Israeli Advisory Law, and this Material must not be furnished to, relied on or acted upon by any other persons. **United States:** Distributed to US persons by either UBS Securities LLC or by UBS Financial Services Inc., subsidiaries of UBS AG; or by a group, subsidiary or affiliate of UBS AG that is not registered as a US broker-dealer (a **'non-US affiliate'**) to major US institutional investors only. UBS Securities LLC or UBS Financial Services Inc. accepts responsibility for the content of a report prepared by another non-US affiliate when distributed to US persons by UBS Securities LLC or UBS Financial Services Inc. All transactions by a US person in the securities mentioned in this report must be effected through UBS Securities LLC or UBS Financial Services Inc., and not through a non-US affiliate. UBS Securities LLC is not acting as a municipal advisor to any municipal entity or obligated person within the meaning of Section 15B of the Securities Exchange Act (the "Municipal Advisor Rule"), and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of the Municipal Advisor Rule. **Canada:** Distributed by UBS Securities Canada Inc., a registered investment dealer in Canada

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

and a Member-Canadian Investor Protection Fund, or by another affiliate of UBS AG that is registered to conduct business in Canada or is otherwise exempt from registration. **Brazil:** Except as otherwise specified herein, this Material is prepared by UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A. (UBS BB CCTVM) to persons who are eligible investors residing in Brazil, which are considered to be Professional Investors (Investidores Profissionais), as designated by the applicable regulation, mainly the CVM Resolution No. 30 from the 11th of May 2021 (determines the duty to verify the suitability of products, services and transactions with regards to the client´s profile). UBS BB CCTVM is a subsidiary of UBS BB Servicos de Assessoria Financeira e Participacoes S.A. ("UBS BB"). UBS BB is an association between UBS AG and Banco do Brasil (through its subsidiary BB – Banco de Investimentos S.A.), of which UBS AG is the majority owner and which provides investment banking services and coverage in Brazil, Argentina, Chile, Paraguay, Peru and Uruguay. UBS BB CCTVM is regulated by the Comissao de Valores Mobiliarios (CVM) and by the Central Bank of Brazil. Ombudsman: 0800-940-0266/ https://www.ubs.com/br/pt/ubsbb-investment-bank/ombudsman.html. UBS may hold relevant financial and commercial interest in relation to the company subject to this Research report. **Hong Kong:** Distributed by UBS Securities Asia Limited. Please contact local licensed persons of UBS Securities Asia Limited in respect of any matters arising from, or in connection with, the analysis or document **Singapore:** Distributed by UBS Securities Pte. Ltd. [Co. Reg. No.: 198500648C] or UBS AG, Singapore Branch. Please contact UBS Securities Pte. Ltd., an exempt financial adviser under the Singapore Financial Advisers Act (Cap. 110); or UBS AG, Singapore Branch, an exempt financial adviser under the Singapore Financial Advisers Act (Cap. 110) and a wholesale bank licensed under the Singapore Banking Act (Cap. 19) regulated by the Monetary Authority of Singapore, in respect of any matters arising from, or in connection with, the analysis or document. The recipients of this document represent and warrant that they are accredited and institutional investors as defined in the Securities and Futures Act (Cap. 289). **Japan:** Distributed by UBS Securities Japan Co., Ltd. to professional investors (except as otherwise permitted). Where this report has been prepared by UBS Securities Japan Co., Ltd., UBS Securities Japan Co., Ltd. is the author, publisher and distributor of the report. Distributed by UBS AG, Tokyo Branch to Professional Investors (except as otherwise permitted) in relation to foreign exchange and other banking businesses when relevant. **Australia:** Clients of UBS AG: Distributed by UBS AG (ABN 47 088 129 613 and holder of Australian Financial Services License No. 231087). For all other recipients: Distributed by UBS Securities Australia Ltd (ABN 62 008 586 481 and holder of Australian Financial Services License No. 231098). This document contains general information and/or general advice only and does not constitute personal financial product advice. As such, the Information in this document has been prepared without taking into account any investor's objectives, financial situation or needs, and investors should, before acting on the Information, consider the appropriateness of the Information, having regard to their objectives, financial situation and needs. If the Information contained in this document relates to the acquisition, or potential acquisition of a particular financial product by a 'Retail' client as defined by section 761G of the Corporations Act 2001 where a Product Disclosure Statement would be required, the retail client should obtain and consider the Product Disclosure Statement relating to the product before making any decision about whether to acquire the product. **New Zealand:** Distributed by UBS New Zealand Ltd. UBS New Zealand Ltd is not a registered bank in New Zealand. You are being provided with this publication or material because you have indicated to UBS that you are a "wholesale client" within the meaning of clause 4 of schedule 5 of the Financial Markets Conduct Act 2013 of New Zealand (Permitted Client). This publication or material is not intended for clients who are not Permitted Clients (non-permitted Clients). If you are a non-permitted Client you must not rely on this publication or material. If despite this warning you nevertheless rely on this publication or material, you hereby (i) acknowledge that you may not rely on the content of this publication or material and that any recommendations or opinions in such this publication or material are not made or provided to you, and (ii) to the maximum extent permitted by law (a) indemnify UBS and its associates or related entities (and their respective Directors, officers, agents and Advisors) (each a 'Relevant Person') for any loss, damage, liability or claim any of them may incur or suffer as a result of, or in connection with, your unauthorised reliance on this publication or material and (b) waive any rights or remedies you may have against any Relevant Person for (or in respect of) any loss, damage, liability or claim you may incur or suffer as a result of, or in connection with, your unauthorised reliance on this publication or material. **Korea:** Distributed in Korea by UBS Securities Pte. Ltd., Seoul Branch. This report may have been edited or contributed to from time to time by affiliates of UBS Securities Pte. Ltd., Seoul Branch. This material is intended for professional/institutional clients only and not for distribution to any retail clients. **Malaysia:** This material is authorized to be distributed in Malaysia by UBS Securities Malaysia Sdn. Bhd (Capital Markets Services License No.: CMSL/A0063/2007). This material is intended for professional/institutional clients only and not for distribution to any retail clients. **India:** Distributed by UBS Securities India Private Ltd. (Corporate Identity Number U67120MH1996PTC097299) Unit 2901, Level 29 Altimus, Pandurang Budhkar Road, Worli, Mumbai – 400 018. It provides brokerage services bearing SEBI Registration Number: INZ000259830; Merchant Banking services bearing SEBI Registration Number: INM000013101; and Research Analyst services bearing SEBI Registration Number: INH000001204. Name of Compliance Officer Mr. Parameshwaran Shivaramakrishnan, Phone : +912261556151, Email : parameshwaran.s@ubs.com, Name of Grievance Officer Parameshwaran Shivaramakrishnan, Phone : +912261556151, Email: ol-ubs-sec-compliance@ubs.com Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. UBS may have debt holdings or positions in the subject Indian company/companies. UBS may have financial interests (e.g. loan/derivative products, rights to or interests in investments, etc.) in the subject Indian company / companies from time to time. Within the past 12 months, UBS may have received compensation for non-investment banking securities-related services and/or non-securities services from the subject Indian company/companies. The subject company/companies may have been a client/clients of UBS during the 12 months preceding the date of distribution of the research report with respect to investment banking and/or non-investment banking securities-related services and/or non-securities services. With regard to information on associates, please refer to the Annual Report at: https://www.ubs.com/global/en/about_ubs/investor_relations/annualreporting.html The Research Annual Compliance Report for UBS Securities India Private Limited is available on www.ubs.com/ubssi under Research tab. **Taiwan:** Except as otherwise specified herein, this material may not be distributed in Taiwan. Information and material on securities/instruments that are traded in a Taiwan organized exchange is deemed to be issued and distributed by UBS Securities Pte. LTD., Taipei Branch to professional institutional investors and/or persons permitted under applicable regulation. Unless permitted by applicable Taiwan laws and regulations, this material is for reference and information only and should not constitute "recommendation" to clients or recipients in Taiwan for the covered companies or any companies mentioned in this document. No portion of the document may be reprinted, reproduced or quoted by the press or any other person without authorisation from UBS. **Indonesia:** This report is being distributed by PT UBS Sekuritas Indonesia and is delivered by its licensed employee(s), including marketing/sales person, to its client. PT UBS Sekuritas Indonesia, having its registered office at Sequis Tower Level 22 unit 22-1,Jl.Jend. Sudirman, kav.71, SCBD lot 11B, Jakarta 12190. Indonesia, is a subsidiary company of UBS AG and licensed under Capital Market Law no. 8 year 1995, a holder of broker-dealer and underwriter licenses issued by the Capital Market and Financial Institution Supervisory Agency (now Otoritas Jasa Keuangan/OJK). PT UBS Sekuritas Indonesia is also a member of Indonesia Stock Exchange and supervised by Otoritas Jasa Keuangan (OJK). Neither this report nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens except in compliance with applicable Indonesian capital market laws and regulations. This report is not an offer of securities in Indonesia and may not be distributed within the territory of the Republic of Indonesia or to Indonesian citizens in circumstance which constitutes an offering within the meaning of Indonesian capital market laws and regulations.

The disclosures contained in research documents produced by UBS AG, London Branch or UBS Europe SE shall be governed by and construed in accordance with English law.

UBS specifically prohibits the redistribution of this document in whole or in part without the written permission of UBS and in any event UBS accepts no liability whatsoever for any redistribution of this document or its contents or the actions of third parties in this respect. Images may depict objects or elements that are protected by third party copyright, trademarks and other intellectual property rights. © UBS 2026. The key symbol and UBS are among the registered and unregistered trademarks of UBS. All rights reserved.

Global Wealth Management Disclaimer

You receive this document in your capacity as a client of UBS Global Wealth Management. This publication has been distributed to you by UBS Switzerland AG (regulated by FINMA in Switzerland) or its affiliates (**"UBS"**) with whom you have a banking relationship with. The full name of the distributing affiliate and its competent authority can be found in the country-specific disclaimer at the end of this document. UBS may utilise artificial intelligence tools ("AI Tools") in the preparation of this document. Notwithstanding any such use of AI Tools, this document has undergone human review.

The date and time of the first dissemination of this publication is the same as the date and time of its publication.

Risk information:

You agree that you shall not copy, revise, amend, create a derivative work, provide to any third party, or in any way commercially exploit any UBS research, and that you shall not extract data from any research or estimates, without the prior written consent of UBS.

This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject UBS to any registration or licensing requirement within such jurisdiction.

This document is **for your information only**; it is not an advertisement nor is it a solicitation or an offer to buy or sell any financial instruments or to participate in any particular trading strategy. Nothing in this document constitutes a representation that any investment strategy or recommendation is suitable or appropriate to an investor's individual circumstances or otherwise constitutes a personal recommendation. By providing this document, none of UBS or its representatives has any responsibility or authority to provide or have provided investment advice in a fiduciary capacity or otherwise. Investments involve risks, and investors should exercise prudence and their own judgment in making their investment decisions. None of UBS or its representatives is suggesting that the recipient or any other person take a specific course of action or any action at all. By receiving this document, the recipient acknowledges and agrees with the intended purpose described above and further disclaims any expectation or belief that the information constitutes investment advice to the recipient or otherwise purports to meet the investment objectives of the recipient. The financial instruments described in the document may not be eligible for sale in all jurisdictions or to certain categories of investors.

Options, derivative products and futures are not suitable for all investors, and trading in these instruments is considered risky. Mortgage and asset-backed securities may involve a high degree of risk and may be highly volatile in response to fluctuations in interest rates or other market conditions. Foreign currency rates of exchange may

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

adversely affect the value, price or income of any security or related instrument referred to in the document. For investment advice, trade execution or other enquiries, clients should contact their local sales representative.

The value of any investment or income may go down as well as up, and investors may not get back the full (or any) amount invested. Past performance is not necessarily a guide to future performance. Neither UBS nor any of its directors, employees or agents accepts any liability for any loss (including investment loss) or damage arising out of the use of all or any of the information (as defined below).

Prior to making any investment or financial decisions, any recipient of this document or the information should take steps to understand the risk and return of the investment and seek individualized advice from his or her personal financial, legal, tax and other professional advisors that takes into account all the particular facts and circumstances of his or her investment objectives.

Any prices stated in this document are for information purposes only and do not represent valuations for individual securities or other financial instruments. There is no representation that any transaction can or could have been effected at those prices, and any prices do not necessarily reflect UBS's internal books and records or theoretical model-based valuations and may be based on certain assumptions. Different assumptions by UBS or any other source may yield substantially different results.

No representation or warranty, either expressed or implied, is provided in relation to the accuracy, completeness or reliability of the information contained in any materials to which this document relates (the "Information"), except with respect to Information concerning UBS. The Information is not intended to be a complete statement or summary of the securities, markets or developments referred to in the document. UBS does not undertake to update or keep current the Information. Any opinions expressed in this document may change without notice and may differ or be contrary to opinions expressed by other business areas or groups, personnel or other representative of UBS. Any statements contained in this report attributed to a third party represent UBS's interpretation of the data, information and/or opinions provided by that third party either publicly or through a subscription service, and such use and interpretation have not been reviewed by the third party. In no circumstances may this document or any of the Information (including any forecast, value, index or other calculated amount ("Values")) be used for any of the following purposes: (i) valuation or accounting purposes; (ii) to determine the amounts due or payable, the price or the value of any financial instrument or financial contract; or (iii) to measure the performance of any financial instrument including, without limitation, for the purpose of tracking the return or performance of any Value or of defining the asset allocation of portfolio or of computing performance fees.

By receiving this document and the Information you will be deemed to represent and warrant to UBS that you will not use this document or any of the Information for any of the above purposes or otherwise rely upon this document or any of the Information.

UBS has policies and procedures, which include, without limitation, independence policies and permanent information barriers, that are intended, and upon which UBS relies, to manage potential conflicts of interest and control the flow of information within divisions of UBS (including between Global Wealth Management and UBS Global Research) and among its subsidiaries, branches and affiliates. For further information on the ways in which UBS manages conflicts and maintains independence of its research products, historical performance information and certain additional disclosures concerning UBS research recommendations, please visit https://www.ubs.com/research-methodology.

Research will initiate, update and cease coverage solely at the discretion of research management, which will also have sole discretion on the timing and frequency of any published research product. The analysis contained in this document is based on numerous assumptions. Different assumptions could result in materially different results.

The analyst(s) responsible for the preparation of this document may interact with trading desk personnel, sales personnel and other parties for the purpose of gathering, applying and interpreting market information. UBS relies on information barriers to control the flow of information contained in one or more areas within UBS into other areas, units, groups or affiliates of UBS. The compensation of the analyst who prepared this document is determined exclusively by research management and senior management (not including investment banking). Analyst compensation is not based on investment banking revenues; however, compensation may relate to the revenues of UBS and/or its divisions as a whole, of which investment banking, sales and trading are a part, and UBS's subsidiaries, branches and affiliates as a whole.

For financial instruments admitted to trading on an EU regulated market: UBS AG, its affiliates or subsidiaries (excluding UBS Securities LLC) acts as a market maker or liquidity provider (in accordance with the interpretation of these terms in the UK) in the financial instruments of the issuer save that where the activity of liquidity provider is carried out in accordance with the definition given to it by the laws and regulations of any other EU jurisdictions, such information is separately disclosed in this document. For financial instruments admitted to trading on a non-EU regulated market: UBS may act as a market maker save that where this activity is carried out in the US in accordance with the definition given to it by the relevant laws and regulations, such activity will be specifically disclosed in this document. UBS may have issued a warrant the value of which is based on one or more of the financial instruments referred to in the document. UBS and its affiliates and employees may have long or short positions, trade as principal and buy and sell in instruments or derivatives identified herein; such transactions or positions may be inconsistent with the opinions expressed in this document.

Options and futures are not suitable for all investors, and trading in these instruments is considered risky and may be appropriate only for sophisticated investors. Prior to buying or selling an option, and for the complete risks relating to options, you must receive a copy of "Characteristics and Risks of Standardized Options". You may read the document at https://www.theocc.com/about/publications/character-risks.jsp or ask your financial advisor for a copy.

Investing in structured investments involves significant risks. For a detailed discussion of the risks involved in investing in any particular structured investment, you must read the relevant offering materials for that investment. Structured investments are unsecured obligations of a particular issuer with returns linked to the performance of an underlying asset. Depending on the terms of the investment, investors could lose all or a substantial portion of their investment based on the performance of the underlying asset. Investors could also lose their entire investment if the issuer becomes insolvent. UBS does not guarantee in any way the obligations or the financial condition of any issuer or the accuracy of any financial information provided by any issuer. Structured investments are not traditional investments and investing in a structured investment is not equivalent to investing directly in the underlying asset. Structured investments may have limited or no liquidity, and investors should be prepared to hold their investment to maturity. The return of structured investments may be limited by a maximum gain, participation rate or other feature. Structured investments may include call features and, if a structured investment is called early, investors would not earn any further return and may not be able to reinvest in similar investments with similar terms. Structured investments include costs and fees which are generally embedded in the price of the investment. The tax treatment of a structured investment may be complex and may differ from a direct investment in the underlying asset. UBS and its employees do not provide tax advice. Investors should consult their own tax advisor about their own tax situation before investing in any securities.

Important Information About Sustainable Investing Strategies: Sustainable investing strategies aim to consider and incorporate environmental, social and governance (ESG) factors into investment process and portfolio construction. Strategies across geographies approach ESG analysis and incorporate the findings in a variety of ways. Incorporating ESG factors or sustainable investing considerations may inhibit the portfolio manager's ability to participate in certain investment opportunities that otherwise would be consistent with its investment objective and other principal investment strategies. The returns on a portfolio incorporating ESG factors or sustainable investing considerations may be lower or higher than portfolios where ESG factors, exclusions, or other sustainability issues are not considered by the portfolio manager, and the investment opportunities available to such portfolios may differ.

Within the past 12 months UBS Switzerland AG, its affiliates or subsidiaries may have received or provided investment services and activities or ancillary services as per MiFID II which may have given rise to a payment or promise of a payment in relation to these services from or to this company.

Disclosures: If you require detailed information on disclosures of interest or conflict of interest as required by Market Abuse Regulation please contact the mailbox MAR_disclosure_twopager@ubs.com. Please note that e-mail communication is unsecured.

External Asset Managers / External Financial Consultants: In case this research or publication is provided to an External Asset Manager or an External Financial Consultant, UBS expressly prohibits that it is redistributed by the External Asset Manager or the External Financial Consultant and is made available to their clients and/or third parties.

Argentina: All securities that will be offered to you by UBS are not authorized by the Argentine Securities and Exchange Commission (CNV) and are not subject to its reporting, periodic information requirements, or oversight. Furthermore, the CNV has not reviewed or endorsed the information provided in any securities offering document, nor the accuracy of any accounting, financial, economic data, or any other information disclosed therein, which remains the sole responsibility of the respective issuer and the other parties involved. **Australia:** This document is provided by UBS Switzerland AG. UBS Switzerland AG does not hold an Australian Financial Services Licence (AFSL) and relies on an exemption to provide financial services to persons in Australia. This document is intended only for distribution to wholesale clients under the Corporations Act 2001 (Cth). UBS Switzerland AG is a related body corporate of UBS AG, Australia Branch and UBS Securities Australia Limited. This document may be distributed to clients by those entities, but it is provided by UBS Switzerland AG and is not provided under any of the other entities' AFSL. The information in this document is general in nature and is not intended to address the objectives, financial situation or needs of any particular individual or entity. Each recipient should consider their own objectives, financial situation or needs before acting on the advice and obtain the relevant Product Disclosure Statement (if required) before making any decision whether to acquire any product. In Australia, UBS entities, other than UBS AG, Australia Branch, are not authorized deposit-taking institutions for the purposes of the Banking Act 1959 (Cth.) and their obligations do not represent deposits or other liabilities of UBS AG, Australia Branch. UBS AG, Australia Branch does not guarantee or otherwise provide assurance in respect of the obligations of such UBS entities or the funds. An investor is exposed to investment risk including possible delays in repayment and loss of income and principal invested, as relevant. If you do not wish to receive marketing materials from UBS, please contact your UBS representative or the contact details listed in the Australia Privacy Notice: https://www.ubs.com/global/en/legal/privacy.html. Your personal data will be processed in accordance with this notice. **Bahrain**: This report is being distributed by UBS AG, Bahrain Branch, duly licensed and regulated by the Central Bank of Bahrain (CBB) as an Investment Business Firm - Category 2 (Branch). Related financial services or products are only made available to Accredited Investors, as defined by the CBB, and are not intended for any other persons. UBS AG, Bahrain Branch is

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

a Foreign Branch of UBS AG, Zurich/Switzerland and is located on Level 21, East Tower, Bahrain World Trade Centre, Manama, Kingdom of Bahrain. **Brazil**: This report is distributed in Brazil by UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A. or its affiliates ("UBS"). Pursuant to CVM Resolution No. 20/2021, of February 25, 2021, the author(s) of the report hereby certify(ies) that the views expressed in this report solely and exclusively reflect their personal opinions and have been prepared independently, including with respect to UBS. Part of the author(s)'s compensation is based on various factors, including the total revenues of the relevant UBS Group entity of which they are in employment of, but no part of the compensation has been, is, or will be related to the specific recommendations or views expressed in this report. In addition, UBS declares that: UBS has provided, and/or may in the future provide investment banking, brokerage, asset management, commercial banking and other financial services to the subject company/companies or its affiliates, for which they have received or may receive customary fees and commissions, and which constituted or may constitute relevant financial or commercial interests in relation to the subject company/companies or the subject securities. **Canada**: The information contained herein is not, and under no circumstances is to be construed as, a prospectus, an advertisement, a public offering, an offer to sell securities described herein, solicitation of an offer to buy securities described herein, in Canada or any province or territory thereof. Any offer or sale of the securities described herein in Canada will be made only under an exemption from the requirements to file a prospectus with the relevant Canadian securities regulators and only by a dealer properly registered under applicable securities laws or, alternatively, pursuant to an exemption from the dealer registration requirement in the relevant province or territory of Canada in which such offer or sale is made. Under no circumstances is the information contained herein to be construed as investment advice in any province or territory of Canada and is not tailored to the needs of the recipient. To the extent that the information contained herein references securities of an issuer incorporated, formed or created under the laws of Canada or a province or territory of Canada, any trades in such securities must be conducted through a dealer registered in Canada or, alternatively, pursuant to a dealer registration exemption. No securities commission or similar regulatory authority in Canada has reviewed or in any way passed upon these materials, the information contained herein or the merits of the securities described herein and any representation to the contrary is an offence. In Canada, this publication is distributed by UBS Investment Management Canada Inc. **China**: This report and any offering material such as term sheet, research report, other product or service documentation or any other information (the "Material") sent with this report was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the material erroneously, UBS asks that you kindly delete it and inform UBS immediately. This report is prepared by UBS Switzerland AG or its offshore subsidiary or affiliate (collectively as "UBS Offshore"). UBS Offshore is an entity incorporated out of China and is not licensed, supervised or regulated in China to carry out banking or securities business. The recipient should not contact the analysts or UBS Offshore which produced this report for advice as they are not licensed to provide securities investment advice in China. UBS Investment Bank (including Research) has its own wholly independent research and views which at times may vary from the views of UBS Global Wealth Management. The recipient should not use this document or otherwise rely on any of the information contained in this report in making investment decisions and UBS takes no responsibility in this regard. **Denmark**: This publication is not intended to constitute a public offer under Danish law. It is distributed only for information purposes to clients of UBS Europe SE, Denmark Branch, filial af UBS Europe SE, with place of business at Sankt Annae Plads 13, 1250 Copenhagen, Denmark, registered with the Danish Commerce and Companies Agency, under No. 38 17 24 33. UBS Europe SE, Denmark Branch, filial af UBS Europe SE is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Danish Financial Supervisory Authority (Finanstilsynet), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Egypt**: Securities or other investment products are not being offered or sold by UBS to the public in Egypt and they have not been and will not be registered with the Egyptian Financial Regulatory Authority (FRA). **France**: This publication is not intended to constitute a public offer under French law, it does not constitute a personal recommendation as it is distributed only for information purposes to clients of UBS Europe SE Succursale de France (a branch of UBS Europe SE), having its registered office at 39, rue du Colisée, 75008 Paris, France, registered with the "Registre du Commerce et des Sociétés" of Paris under N°844 425 629. UBS Europe SE Succursale de France is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the French "Autorité de contrôle prudentiel et de résolution" and "Autorité des marchés financiers", to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Germany**: This publication is not intended to constitute a public offer under German law. It is distributed only for information purposes to clients of UBS Europe SE, Germany, with place of business at Bockenheimer Landstrasse 2-4, 60306 Frankfurt am Main. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin") and supervised jointly by the European Central Bank, the German Central Bank (Deutsche Bundesbank) and BaFin, to which this publication has not been submitted for approval. **Hong Kong SAR**: This publication is distributed to clients of UBS AG Hong Kong Branch by UBS AG Hong Kong Branch, a licensed bank under the Hong Kong Banking Ordinance and a registered institution under the Securities and Futures Ordinance. UBS AG Hong Kong Branch is incorporated in Switzerland with limited liability. The contents of this material have not been reviewed by any regulatory authority in Hong Kong. **India**: UBS Securities India Private Ltd. (Corporate Identity Number U67120MH1996PTC097299) 2/F, 3 North Avenue, Maker Maxity, Bandra Kurla Complex, Bandra (East), Mumbai (India) 400051. Phone: +912261556000. It provides brokerage services bearing SEBI Registration Number: INZ000259830; Merchant Banking services bearing SEBI Registration Number: INM000013101 and Research Analyst services bearing SEBI Registration Number: INH000001204. Name of Compliance Officer Mr. Parameshwaran Shivaramakrishnan, Phone: +912261556151, Email: parameshwaran.s@ubs.com, Name of Grievance Officer Parameshwaran Shivaramakrishnan, Phone: +912261556151, Email: ol-ubs-sec-compliance@ubs.com. Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. UBS AG, its affiliates or subsidiaries may have debt holdings or positions in the subject Indian company/companies. UBS AG, its affiliates or subsidiaries may have financial interests (e.g. loan/derivative products, rights to or interests in investments, etc.) in the subject Indian company/companies from time to time. Within the past 12 months, UBS AG, its affiliates or subsidiaries may have received compensation for non-investment banking securities-related services and/or non-securities services from the subject Indian company/companies. The subject company/companies may have been a client/clients of UBS AG, its affiliates or subsidiaries during the 12 months preceding the date of distribution of the research report with respect to investment banking and/or non-investment banking securities-related services and/or non-securities services. With regard to information on associates, please refer to the Annual Report at: https://www.ubs.com/global/en/about_ubs/investor_relations/annualreporting.html. The Research Annual Compliance report for UBS Securities India Private Limited is available on www.ubs.com/ubssi under Research tab. **Indonesia**: This communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed without the consent of UBS. None of the Material has been registered or filed under the prevailing laws and with any financial or regulatory authority in your jurisdiction. The Material may not have been approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or products or futures contracts). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including futures contracts) nor is it an offer to buy or to sell any securities or products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Israel**: UBS is a premier global financial firm offering wealth management, asset management and investment banking services from its headquarters in Switzerland and its operations in over 50 countries worldwide to individual, corporate and institutional investors. This publication is intended for information only and is not intended as an offer to buy or solicitation of an offer. Furthermore, this publication is not intended as an investment advice. Nothing contrary to the above, no action has been, or will be, taken in Israel that would permit an offering of the product(s) mentioned in this document or a distribution of this document to the public in Israel. In particular, this document has not been reviewed or approved by the Israeli Securities Authority. The product(s) mentioned in this document is/are being offered to a limited number of sophisticated investors who qualify as one of the investors listed in the first supplement to the Israeli Securities Law, 5728-1968. This document may not be reproduced or used for any other purpose, nor be furnished to any other person other than those to whom copies have been sent. Anyone who purchases the product(s) mentioned herein shall do so for its own benefit and for its own account and not with the aim or intention of distributing or offering the product(s) to other parties. Anyone who purchases the product(s) shall do so in accordance with its own understanding and discretion and after it has received any relevant financial, legal, business, tax or other advice or opinion required by it in connection with such purchase(s). The word "advice" and/or any of its equivalent terms shall be read and construed in conjunction with the definition of the term "investment marketing" as defined under the Israeli Regulation of Investment Advice, Investment Marketing and Portfolio Management Law. The Swiss laws and regulations require a number of mandatory disclosures to be made in independent financial research reports or recommendations. Pursuant to the Swiss Financial Market Infrastructure Act and the Financial Market Infrastructure Ordinance-FINMA, banks must disclose the percentage of voting rights they hold in companies being researched, if these holdings are equal to or exceed the statutory thresholds. In addition, the Directives on the Independence of Financial Research, issued by the Swiss Bankers Association, mandate a number of disclosures, including the disclosure of potential conflicts of interest, the participation within previous 12 months in any securities issues on behalf of the company being researched, as well as the fact that remuneration paid to the financial analysts is based generally upon the performance of (i) the new issues department or investment banking; or (ii) securities trading performance (including proprietary trading) or sales. **Italy**: This publication is not intended to constitute a public offer under Italian law. It is distributed only for information purposes to clients of UBS Europe SE, Succursale Italia, with place of business at Via del Vecchio Politecnico, 3-20121 Milano. UBS Europe SE, Succursale Italia is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Bank of Italy (Banca d'Italia) and the Italian Financial Markets Supervisory Authority (CONSOB - Commissione Nazionale per le Società e la Borsa), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Japan**: This report is solely distributed in Japan by UBS SuMi TRUST Wealth Management Co., Ltd, Financial Instruments Dealer, Director-General of Kanto Local Finance Bureau (Kinsho) No. 3233, a member of the Japan Securities Dealers Association, Financial Futures Association of Japan, Investment Management Association of Japan. UBS SuMi TRUST Wealth Management Co., Ltd will not distribute or

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

forward this report outside Japan. **Jersey**: UBS AG, Jersey Branch, is regulated and authorized by the Jersey Financial Services Commission for the conduct of banking, funds and investment business. Where services are provided from outside Jersey, they will not be covered by the Jersey regulatory regime. UBS AG, Jersey Branch is a branch of UBS AG a public company limited by shares, incorporated in Switzerland whose registered offices are at Aeschenvorstadt 1, CH-4051 Basel and Bahnhofstrasse 45, CH 8001 Zurich. UBS AG, Jersey Branch's principal place of business is 1, IFC Jersey, St Helier, Jersey, JE2 3BX. **Luxembourg**: This publication is not intended to constitute a public offer under Luxembourg law. It is distributed only for information purposes to clients of UBS Europe SE, Luxembourg Branch ("UBS Luxembourg"), R.C.S. Luxembourg n° B209123, with registered office at 33A, Avenue J. F. Kennedy, L-1855 Luxembourg. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea (HRB n° 107046), with registered office at Bockenheimer Landstrasse 2-4, D-60306 Frankfurt am Main, Germany, duly authorized by the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin") and subject to the joint prudential supervision of BaFin, the European Central Bank and the central bank of Germany (Deutsche Bundesbank). UBS Luxembourg is furthermore supervised by the Luxembourg prudential supervisory authority (Commission de Surveillance du Secteur Financier), in its role as host member state authority. This publication has not been submitted for approval to any public supervisory authority. **Malaysia**: This communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Mexico**: This information is distributed by UBS Asesores México, S.A. de C.V. ("UBS Asesores"), an affiliate of UBS Switzerland AG, incorporated as a non-independent investment advisor under the Mexican regulation due to the relation with a Foreign Bank. UBS Asesores is registered under number 30060-001-(14115)-21/06/2016 and subject to the supervision of the Mexican Banking and Securities Commission ("CNBV") exclusively regarding the rendering of (i) portfolio management services, (ii) securities investment advisory services, analysis and issuance of individual investment recommendations, and (iii) anti-money laundering and terrorism financing matters. This UBS publication or any material related thereto is addressed only to Sophisticated or Institutional Investors located in Mexico. Research reports only reflect the views of the analysts responsible for the report. The compensation of the analyst(s) who prepared this report is determined exclusively by research management and senior management of any entity of UBS Group to which such analyst(s) render(s) services. **Monaco**: This document is not intended to constitute a public offering or a comparable solicitation under the Principality of Monaco laws, but might be made available for information purposes to clients of UBS (Monaco) S.A., a regulated bank having its registered office at 2 avenue de Grande Bretagne 98000 Monaco operating under a banking license granted by the "Autorité de Contrôle Prudentiel et de Résolution" (ACPR) and the Monegasque government which authorizes the provision of banking services in Monaco. UBS (Monaco) S.A. is also licensed by the "Commission de Contrôle des Activités Financières" (CCAF) to provide investment services in Monaco. The latter has not approved this publication. **Philippines:** This communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Portugal**: UBS Switzerland AG is not licensed to conduct banking and financial activities in Portugal nor is UBS Switzerland AG supervised by the portuguese regulators (Bank of Portugal "Banco de Portugal" and Portuguese Securities Exchange Commission "Comissão do Mercado de Valores Mobiliários"). **Qatar**: UBS Qatar LLC is licensed by the Qatar Financial Centre Authority and authorized by the QFC Regulatory Authority, with QFC no. 01169, and has its registered office at Building No. 36, 4th Floor, Abdulla Bin Thani Street, Doha Design District 1, Msheireb Downtown Doha, State of Qatar. This material is strictly intended for Eligible Counterparties and/or Business Customers only as classified under the QFCRA's Customer and Investor Protection Rules 2019. No other person should act upon this material. **Russia**: This document or information contained therein is for information purposes only and constitutes neither a public nor a private offering, is not an invitation to make offers, to sell, exchange or otherwise transfer any financial instruments in the Russian Federation to or for the benefit of any Russian person or entity and does not constitute an advertisement or offering of securities in the Russian Federation within the meaning of Russian securities laws. The information contained herein is not an "individual investment recommendation" as defined in Federal Law of 22 April 1996 No 39-FZ "On Securities Market" (as amended) and the financial instruments and operations specified herein may not be suitable for your investment profile or your investment goals or expectations. The determination of whether or not such financial instruments and operations are in your interests or are suitable for your investment goals, investment horizon or the acceptable risk level is your responsibility. We assume no liability for any losses connected with making any such operations or investing into any such financial instruments and we do not recommend to use such information as the only source of information for making an investment decision. **Saudi Arabia**: This material is for marketing and information purposes by UBS Saudi Arabia only. It has been distributed by UBS Saudi Arabia or reviewed and approved by UBS Saudi Arabia if it was issued by UBS Switzerland AG, by UBS AG, or any of its subsidiaries or branches. UBS Switzerland AG is a public company limited by shares, incorporated in Switzerland with its registered offices at Bahnhofstrasse 45, CH-8001 Zurich. UBS Saudi Arabia (a subsidiary of UBS AG) is a Saudi closed joint stock company incorporated in the Kingdom of Saudi Arabia with a paid capital of 110,000,000 Saudi Riyals under commercial register number 1010257812 having its registered office at Laysen Valley, P.O. Box 75724, Riyadh 11588, Kingdom of Saudi Arabia. UBS Saudi Arabia is authorized and regulated by the Capital Market Authority to conduct securities business under license number 08113-37. This document is distributed only under such circumstances as may be permitted by applicable laws and regulations. The information and – if any - opinions contained in this document have been compiled or arrived at based upon information obtained from sources believed to be reliable and in good faith, but is not guaranteed as being accurate, nor is it a complete statement or summary of the securities, markets or developments referred to in the document. All such information and opinions are subject to changes without notice. Past performance of investments (whether simulated or actual) is not necessarily an indicator of future results. Forward looking data is based on estimates that are subject to changes. Should the currency of a financial product or service not match your reference currency, performance may rise or fall due to currency fluctuations. UBS Switzerland AG and / or other members of the UBS Group may have a position in and may make a purchase and/or sale of any of the securities or other financial instruments mentioned in this document While statements that constitute "forward-looking statements", including, but not limited to, statements relating to our future business development represent UBS judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other important factors could cause actual developments and results to differ materially from our expectations. This document may not be forwarded, reproduced, redistributed or republished for any purpose without the written permission of UBS Saudi Arabia. Source for all data and charts (if not indicated otherwise) is UBS Switzerland AG. **Singapore**: Where applicable, this material is distributed in Singapore by UBS AG, Singapore Branch, which is licensed by the Monetary Authority of Singapore under the Banking Act 1970 to carry on banking business. UBS AG is incorporated in Switzerland with limited liability. UBS AG has a branch registered in Singapore (UEN S98FC5560C). This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (each as defined under the Financial Advisers Regulations (the "FAR")) only. By virtue of your status as an institutional investor, accredited investor, or expert investor, UBS AG is exempted from complying with certain requirements under the Financial Advisers Act 2001 (the "FAA"), the FAR and the relevant Notices and Guidelines issued thereunder, in respect of any financial advisory service which UBS AG may provide to you. These include exemptions from complying with: Section 34 of the FAA (pursuant to Regulation 33(1) of the FAR); Section 36 of the FAA (pursuant to Regulation 34(1) of the FAR); and Section 45 of the FAA (pursuant to Regulation 35(1) of the FAR). Singapore recipients and clients of UBS AG, Singapore Branch should contact UBS AG, Singapore Branch for any matters arising from, or in connection with, this material. Where applicable, this communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved or endorsed by any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or products or futures contracts). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Spain:** This report is distributed in Spain by UBS AG, Sucursal en España, authorized under number 1460 in the Register by the Banco de España. **Sweden**: This publication is not intended to constitute a public offer under Swedish law. It is distributed only for information purposes to clients of UBS Europe SE, Sweden Bankfilial, with place of business at Regeringsgatan 38, 11153 Stockholm, Sweden, registered

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.

with the Swedish Companies Registration Office under Reg. No 516406-1011. UBS Europe SE, Sweden Bankfilial is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Swedish supervisory authority (Finansinspektionen), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Taiwan**: This material is provided by UBS AG, Taipei Branch in accordance with laws of Taiwan, in agreement with or at the request of clients/prospects. **Thailand**: This communication and any offering material, term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication were done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Türkiye**: The information in this document is not provided for the purpose of offering, marketing or sale of any capital market instrument or service in the Republic of Türkiye. Therefore, this document may not be considered as an offer made, or to be made, to residents of the Republic of Türkiye in the Republic of Türkiye. UBS Switzerland AG is not licensed by the Capital Markets Board of Türkiye (the CMB) under the provisions of the Capital Market Law (Law No. 6362). Accordingly, neither this document nor any other offering material related to the instrument/service may be utilized in connection with providing any capital market services to persons within the Republic of Türkiye without the prior approval of the CMB. However, according to article 15 (d) (ii) of the Decree No. 32 residents of the Republic of Türkiye are allowed to purchase or sell the financial instruments traded in financial markets outside of the Republic of Türkiye. Further to this, pursuant to article 9 of the Communiqué on Principles Regarding Investment Services, Activities and Ancillary Services No. III-37.1, investment services provided abroad to residents of the Republic of Türkiye based on their own initiative are not restricted. **United Arab Emirates (UAE) / DIFC / Abu Dhabi**: UBS is not licensed in the UAE by the Central Bank of the UAE nor by the Emirates' Securities and Commodities Authority and does not undertake banking activities in the UAE. This document is provided for your information only and does not constitute financial advice. **DIFC**: UBS AG Dubai Branch is regulated by the DFSA in the DIFC. This material is strictly intended for Professional Clients and/or Market Counterparties only as classified under the DFSA rulebook. It should not be distributed to Retail Clients. The Investment Research is provided for information purposes only and is not a recommendation or offer to buy/sell/hold a particular investment. The investment research may be out of date. You should seek investment advice before acting on the basis of the Investment Research. **Abu Dhabi**: UBS AG Abu Dhabi Branch is licensed and regulated by the Financial Services Regulatory Authority ("FSRA") of the Abu Dhabi Global Market. This material is intended solely for professional clients or market counterparties, as defined in the rules of the FSRA. It is not directed at, nor intended for, retail clients or any person who does not meet the criteria of a professional client or market counterparty. **United Kingdom**: This document is issued by UBS Wealth Management, a division of UBS AG which is authorised and regulated by the Financial Market Supervisory Authority in Switzerland. In the United Kingdom, UBS AG is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. Details about the extent of regulation by the Prudential Regulation Authority are available from us on request. A member of the London Stock Exchange. This publication is distributed to retail clients of UBS Wealth Management. **Ukraine**: UBS is a premier global financial services firm offering wealth management services to individual, corporate and institutional investors. UBS is established in Switzerland and operates under Swiss law and in over 50 countries and from all major financial centers. UBS is not registered and licensed as a bank/financial institution under Ukrainian legislation and does not provide banking and other financial services in Ukraine. UBS has not made, and will not make, any offer of the mentioned products to the public in Ukraine. No action has been taken to authorize an offer of the mentioned products to the public in Ukraine and the distribution of this document shall not constitute financial services for the purposes of the Law of Ukraine "On Financial Services and Financial Companies" dated 14 December 2021. Any offer of the mentioned products shall not constitute an investment advice, public offer, circulation, transfer, safekeeping, holding or custody of securities in the territory of Ukraine. Accordingly, nothing in this document or any other document, information or communication related to the mentioned products shall be interpreted as containing an offer, a public offer or invitation to offer or to a public offer, or solicitation of securities in the territory of Ukraine or investment advice under Ukrainian law. Electronic communication must not be considered as an offer to enter into an electronic agreement or other electronic instrument within the meaning of the Law of Ukraine "On Electronic Commerce" dated 3 September 2015. This document is strictly for private use by its holder and may not be passed on to third parties or otherwise publicly distributed. **USA**: Distributed to US persons only by UBS Financial Services Inc. or UBS Securities LLC, subsidiaries of UBS AG. UBS Switzerland AG, UBS Europe SE, UBS Bank, S.A., UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A., UBS Asesores México, S.A. de C.V., UBS SuMi TRUST Wealth Management Co., Ltd., UBS Wealth Management Israel Ltd. and UBS Menkul Degerler AS are affiliates of UBS AG. **UBS Financial Services Inc. accepts responsibility for the content of a report prepared by a non-US affiliate when it distributes reports to US persons. All transactions by a US person in the securities mentioned in this report should be effected through a US-registered broker dealer affiliated with UBS, and not through a non-US affiliate. The contents of this report have not been and will not be approved by any securities or investment authority in the United States or elsewhere. UBS Financial Services Inc. is not acting as a municipal advisor to any municipal entity or obligated person within the meaning of Section 15B of the Securities Exchange Act (the "Municipal Advisor Rule") and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of the Municipal Advisor Rule.** For information on the ways in which UBS Securities LLC manages conflicts and maintains independence of its UBS Global Research product; historical performance information; certain additional disclosures concerning UBS Global Research recommendations; and terms and conditions for certain third party data used in research report, please visit https://www.ubs.com/disclosures.

© UBS 2026. The key symbol and UBS are among the registered and unregistered trademarks of UBS. All rights reserved.



This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG.